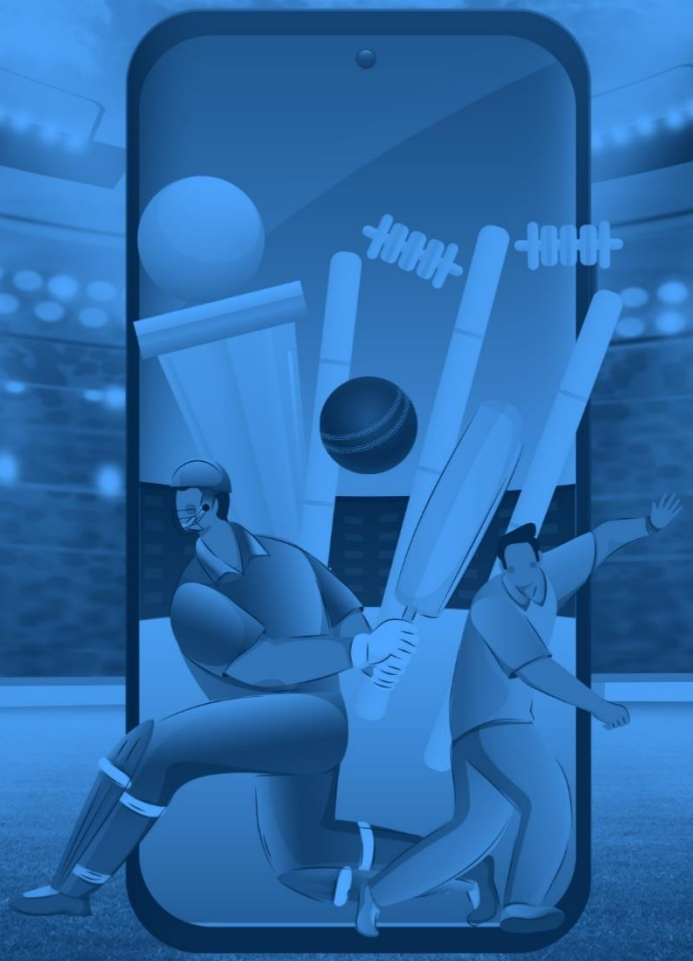
THE LAW DESK

online GAMING

AN AMALGAMATION OF VARIED PERSPECTIVES



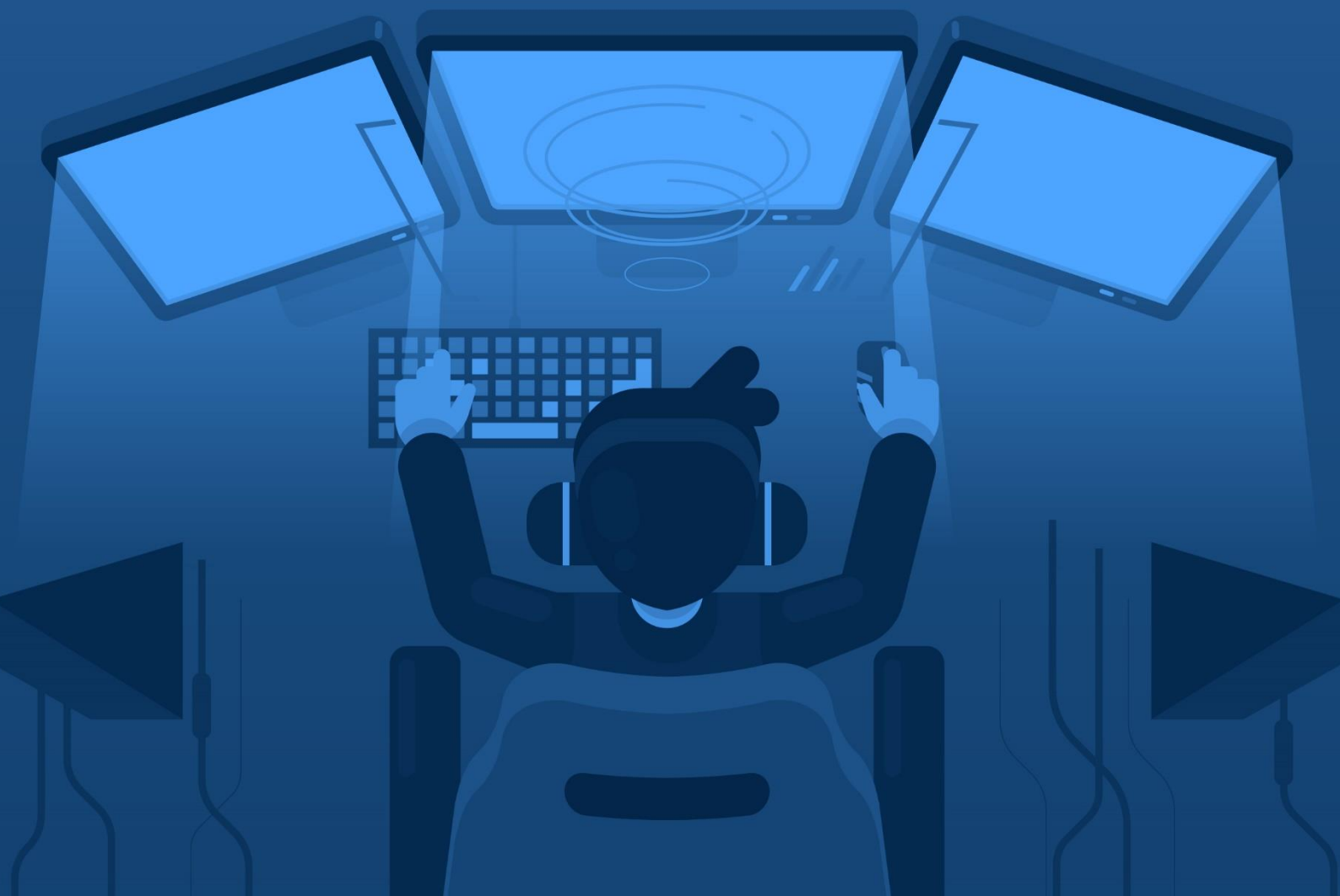
PREFACE

Games have been a source of entertainment for humans since the dawn of time. When the computer was first invented, games were created to test its performance. Similarly, when the Internet was first introduced, games were used to test the execution. Online Gaming is playing games Online (via Internet) on electronic devices such as PCs, tablets, mobile phones etc. Many games were developed and became popular among people between the 1940s and 1960s. Computers have always shown a desire for networking through the means of (amongst other things) games, which were simply played on computer devices. However, the years 1960-1990 marked a watershed moment in the history of video games. Time-sharing and host-based networks proved to be the foundational elements of the internet. Many games have been designed and developed to encourage online participation. Online game availability is much cheaper and offers a greater variety of games for people to enjoy based on their preferences. As a result, the culture of online gaming has flourished around the world in recent years. In the last century, online gaming has advanced at a breakneck pace. Every industry is affected by technology. It has also had an impact on the online gaming industry. We have changed our perceptions of online gaming as a result of technological advancements. Over the last few years, digital entertainment and online gaming platforms have grown to unprecedented levels of user and subscription base, and the pandemic has given these businesses the much-needed boost.



chapter 1

CURTAIN-RAISERS



REAL MONEY GAMING

Real money gaming means a type of game (e.g. casino, bingo, poker, sports or sporting events, skill games, etc.) played through Online Media with real money at stake on the results of the game. Real money gaming may include distribution, promotion and commercialization, sale etc.

The online gaming industry is one of the fastest growing industries in India and at its core right now are Real Money Games. With the advent of cheap internet, people are spending their time on phones and computers playing online games. Real Money Games and the chance of earning by usage and deployment of skills and knowledge towards playing "Games" is fascinating and highly appealing.

Speaking of Online Gaming, one of the most popular Online Gaming platforms i.e., Fantasy Sports also known as Rotisserie is a form of sports where sports enthusiasts can play any live game of their choice virtually by selecting real life players to form a virtual team. The Role of a person playing the sport is similar to a real-life team manager. User enrolls in a Fantasy Sport after making a payment and can virtually select the team which cannot be the same as the real team and no changes can be made in the team once the match starts. The results of Fantasy Sports are based on the real-life statistics of a player's performance in the match. Playing Fantasy Sports requires deep knowledge and understanding about the game, form, weaknesses and strengths of the players. The escalating popularity of sports leagues along with digital advancements in payments had led to upsurge in fantasy sports which has become a preference for the sports fervent to stay connected to their favorite sports by putting their knowledge and abilities of the game to test. This has allowed fans to become active users from being passive users in their favorite sport.

There has been rapid growth in this format globally and also in the Indian user base since the last two or three years. Due to its escalating popularity among the people and entry of several operators and service providers, the fantasy sports realm gave rise to Federation of Indian Fantasy Sports (FIFS), which is a regulatory body that also protects the interests of the users.

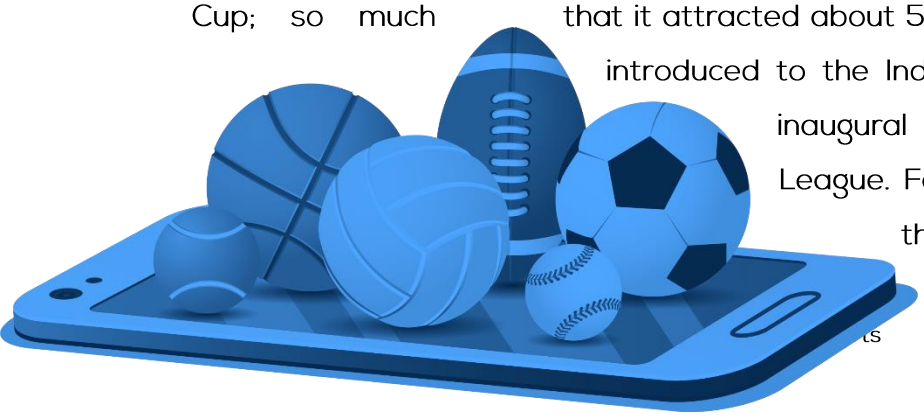
Sports in earlier times was getting out in the field and playing a sport whereas now

with the advancement of technology, sports has evolved into shorter and exciting formats where Sports Fans can actually get out of their comfort zones and actively participate in their favorite sports. Fantasy Sports has led to deeper engagement of sports fans in the games. It is slowly changing the relationship Sports Fans have with their favorite sport.

EMERGENCEOF FANTASY SPORTS

The fantasy sports industry was not always the juggernaut that we know today. Even while there is some evidence of fantasy sports' forerunners, such as fantasy golf, which was established by Oakland Raiders owner Bill Winkenbach, it is widely believed that Daniel Okrent is the true father of fantasy sports. In 1980, he founded Rotisserie League Baseball, a group of journalists who chose a baseball team. The name was later abbreviated to roto, and this abbreviation was used to brand one of the most well-known fantasy related websites. The new phenomenon gained popularity in the 1980s as more and more sports journalists began to dabble in fantasy sports. The introduction of more sophisticated methods of gathering stats resulted in the game's increased popularity[1]. Season-long games were the most popular type of fantasy sports before the late 2000s, but in 2009, Nigel Eccles founded FanDuel, one of the two industry giants still in operation. Eccles took advantage of a loophole in the Unlawful Internet Gambling Enforcement Act of 2006, which did not require a fantasy sports competition to run for the entire season. Jason Robins, Matt Kalish, and Paul Liberman founded DraftKings, FanDuel's archrival and main competitor, three years later in 2012.

ESPN Super Selector brought fantasy sports to Indian soil for the first time in 2001 which involved selecting a cricket team of eleven players on a limited budget. In the period of just two years, it became highly famous during the 2003 ICC Cricket World Cup; so much that it attracted about 5,00,000 contestants. It was later introduced to the Indian market in 2008, during the inaugural season of the Indian Premier League. Fantasy sports quickly captivated the Indian market, gaining



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customers and influencing various market segments, as well as changing people's attitudes regarding sports. [2]

The unexpected rise in popularity of fantasy sports enhanced people's interest in watching various sports, resulting in a surge in the importance of the online gaming business and fantasy sports companies. Fantasy sports are based on a person's ability to pick fantasy teams based on a variety of criteria based on the actual list of players participating in a certain match on a given day. Users are awarded points according to their fantasy squad selections and the performance of the players in the actual match. The Format saw significant increase after 2016 due to affordable mobile data services along with broadband internet which enabled users to virtually connect and participate in their favorite sports.

GLOBAL PERSPECTIVE

To carve out a comprehensive analysis pertaining to Online Gaming, it is apposite that the industry be explored in its raw form across the largest economies of the world, wherein the industry is nothing short of booming. Perhaps the same will portray a holistic picture *vis-a-vis* the industry, which may have constructive repercussions upon the perception, mindset and approach of the market-players in India, and act accordingly.



[2]https://economictimes.indiatimes.com/news/sports/fantasy-sports-in-india-gaining-fast-popularity-on-the-back-of-ipl/articleshow/78722078.cms

UNITED STATES OF AMERICA

There is a misperception about skill-based tournaments as a part of gambling, as it often includes money or cash. But Cash-based tournaments in the aspect of skills are not considered gambling. The widely accepted definition of gambling consists of three things-[3]



without these three elements, a tournament that provides a real prize cannot be considered gambling. In skill-based tournaments, outcomes are based on the skills and ability of players and not on chance. These kinds of tournaments are legally valid in most of the US states and the legality of skill-based competitions is determined at a state level[4].

To avoid being considered gambling, the outcome of the game must be predominantly dependent upon skills. But now a question is raised, "How much skill is required". This question has come several times in front of the court and to differentiate it, the courts across the nation choose different standards for comparison between skill gaming and the game of chance.



[3]https://skillz.zendesk.com/hc/en-us/articles/200620348-The-Legality-of-Skill-Gaming

[4]*ibid*

There are certain standards used by the US government to check the true characteristics of the cash-based tournament[5],

1. The predominance test ("Dominant Factor Test") is most commonly used, to evaluate whether it is a pure skill-based game or a game of chance. For this test, one should envisage the continuation of pure skill at one end and of pure chance at the other. Between ends of games lies the result of the test, and if it promptly falls close to the skill side, it means the tournament is purely a skill-based tournament.

2. Second, the test used by the US government is "Material Element Test" and is relied upon by 8 states to evaluate whether it is skill-based or a game of chance. This test contains a questionnaire and asks questions like whether chance plays an important role in deciding the outcome of the game or not. There are certain games which can only be played by skills and ability of the players but there are times when players are forced to guess at random and the result of that game is based upon that chance. Here skill plays predominance but chance places a material role in determining the game's outcome.

3. Third "Any chance Test". It evaluates whether any chance taken in the game whatsoever affected the outcome of the game. The Any Chance test is the strictest test for classifying skill games and can render as gambling almost any game.

Things get complicated when entry fees are charged to participate in a game of skill. Some courts have recognized that paying an entry fee for the opportunity to participate in a game of skill, in the hopes of winning a prize, is a traditional part of American social life[6]. However, other courts have held that if the entry fees are linked to the prize amount, and used to pay the prizes, the game involves a "wager" which can be illegal[7]. Federal law Unlawful Internet Gaming Enforcement Act (UIGEA) exempts certain fantasy sports and other contests, but only if the prize is announced in advance, and the amount of entry fees does not impact the prize. Therefore, the handling of entry fees

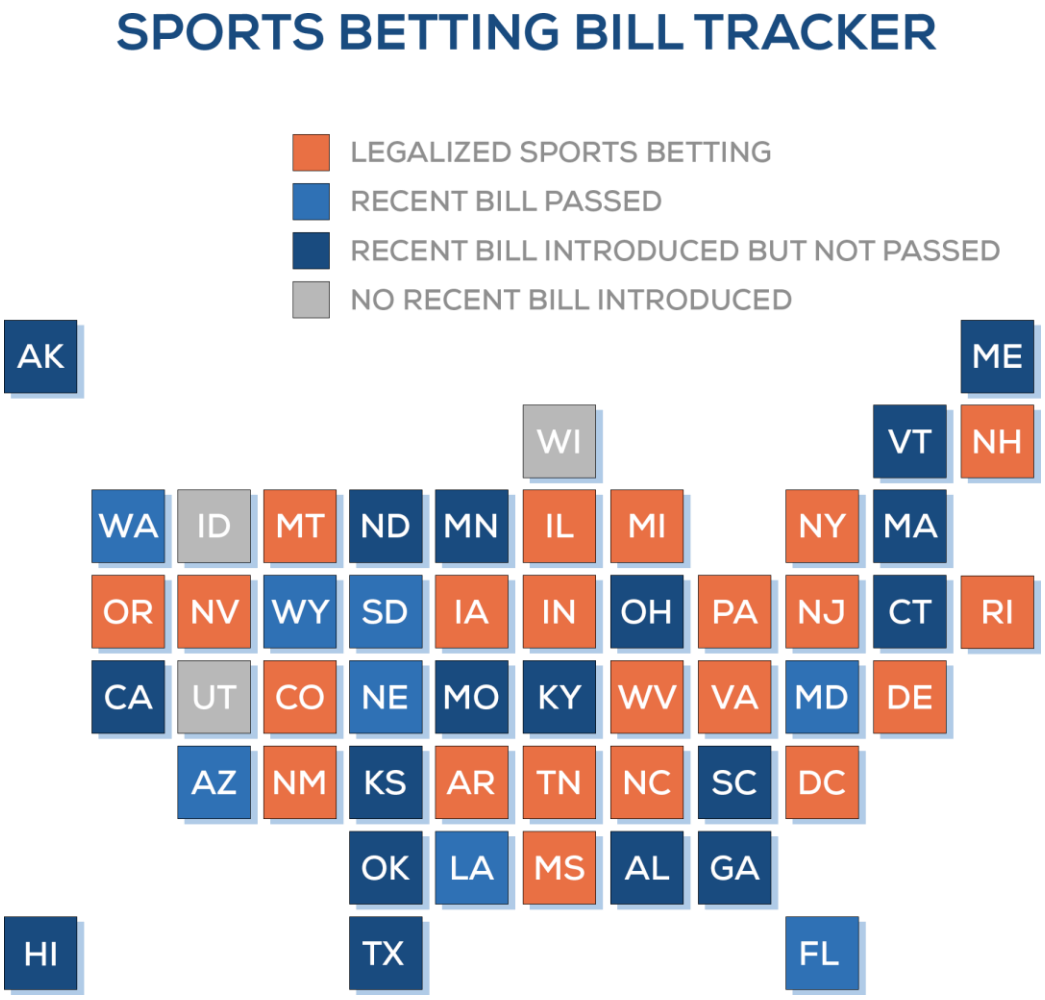
[5]https://www.firstamendment.com/skill-gaming-legal-guide/

[6]www.firstamendment.com/skill-gaming-legal-guide/

[7]*ibid*

can be a critical element of risk mitigation in skill gaming.

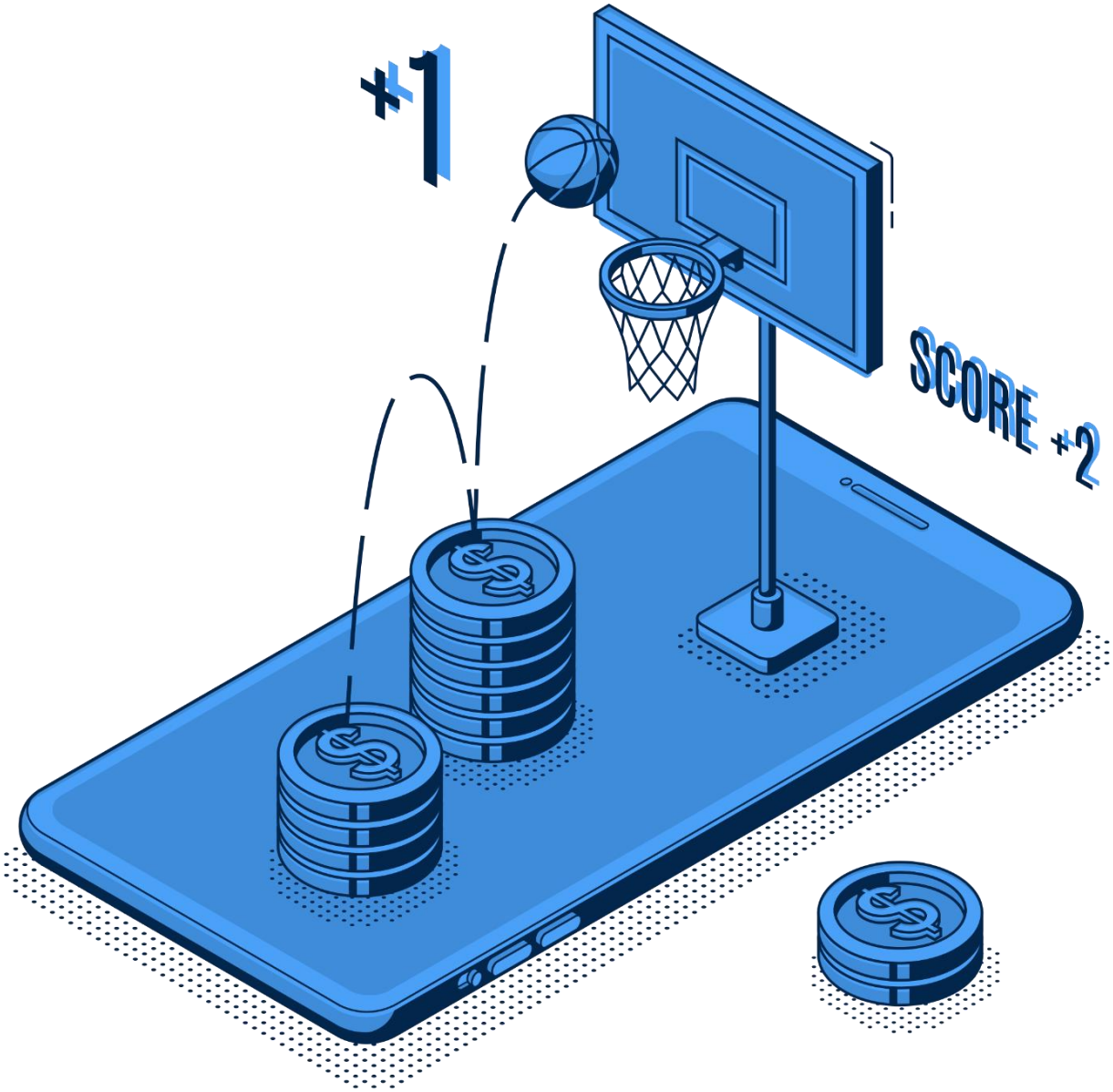
Skill gaming is essentially unregulated in most of the United States. Federal law does not prohibit skill gaming, but, as noted above, does provide safe harbor for certain contests of skill that meet the statutory criteria. U.S. Congress has left gambling regulation primarily up to the states, with limited exceptions. Most states do not expressly prohibit skill games by statute, but instead, focus restrictions on traditional gambling. States like Florida represent the exception, where wagering on skill games is prohibited by statute, along with games of chance[8]. Even there, the courts struggle to permit participation in some skill gaming activity, such as midway fair games or golf tournaments. Instead of imposing a blanket prohibition on skill gaming, the courts often distinguish between illegal wagering on games of skill, and legal participation in contests involving skill. This can lead to inconsistent and unpredictable results. Often the "look and feel" of the game can be an important



[8]https://www.gambling.com/us/laws

factor if its legality is tested in court.

The Supreme Court of the United States lifted the federal ban on sports betting on May 14, 2018. The Professional and Amateur Sports Protection Act (PASPA) was challenged in court when New Jersey attempted to allow sports betting by working around the federal law. In a 6-3 decision, the Supreme Court ruled that the PASPA was unconstitutional because it infringed upon states' rights.[9]



[9] *ibid*

UNITED KINGDOM

All operators of remote gambling, i.e. online gambling, telephone gambling are required under the Gambling Act 2005 to be licensed. The license does not depend on whether the operator is providing gambling online but is in relation to the specific activities that they provide online. A separate license will be required for each of the following activities:

- Betting
- Bingo
- Casino games
- Gambling software
- Lottery games

Gambling websites which do not have their remote equipment based in the UK will not have to be licensed by the Gambling Commission. If the online gambling products from websites based outside of the UK are being advertised within the UK, the website must be based in one of the whitelisted countriesor a country mentioned in the Gambling Act 2005. The following countries are included within this list:

- EEA Countries
- Alderney
- Antigua and Barbuda
- Gibraltar
- Isle of Man
- Tasmania

This effectively means that any online gambling websites will come under the scope of the Gambling Commission and you will therefore be provided with protection when dealing with them.

You do not need a license to use any form of online gambling website. In order to be safer online when using such websites, it is recommended that you read the guidance provided for by the Gambling Commission.



Conditions imposed on Licensees

Conditions can be imposed on the grant of a license by the Gambling Commission in one of the following four ways:

01 General licence conditions can be applied to an individual operating licence or a class of operating licence – for example all betting operating licences.

02 Individual licence conditions can be applied to an individual operating licence – this will often address matters concerning an individual operator and their activities.

03 Conditions can be imposed by the Secretary of State to a class of operating licence.

04 Statutory conditions can be imposed on a class of operating licence.

05 Again, the imposition of these conditions upon the grant of an operating licence serves to provide you with more protection while using online gambling websites.

Codes of practice

Under Section 24 of the Gambling Act 2005 the Gambling Commission issues codes of practice concerning the manner in which facilities for gambling are provided to ensure the following:

That gambling is conducted in a fair and open way

That children and other vulnerable people are protected from being harmed or exploited by gambling websites

That assistance is made available to people who are, or may be, affected by problems related to gambling.

Each and every license who has been provided with a gambling license by the Gambling Commission must comply with the codes of practice produced by the Gambling Commission serving to protect the British public who wish to use online gambling websites.

AUSTRALIA

Interactive Gambling

Interactive gambling consists of gambling activities which take place on broadcasting, datacasting and online platforms. We develop policy and regulations for interactive gambling services.

The Interactive Gambling Act 2001

It's illegal to provide some interactive gambling activities, such as 'online casinos', to someone in Australia. Examples include roulette, poker, craps, online 'pokies' and blackjack. Any game of chance, including games of mixed chance and skill played over the internet, is prohibited under the Interactive Gambling Act 2001 (IGA) if it's provided to someone who is physically in Australia.

Under the IGA, it is an offence to:

- provide a prohibited interactive gambling service to customers in Australia.

- provide an unlicensed regulated interactive gambling service to customers in Australia; and
- provide an Australian-based interactive gambling service to customers in designated countries.

These offences apply to all interactive gambling providers, based in Australia or offshore, and Australian or foreign owned.

The Act aims to limit the harmful effects of gambling on the Australian community. It targets the providers of interactive gambling, not their potential or actual customers.

Internet service providers (ISPs) follow The Interactive Gambling Industry Code in dealing with online gambling hosted outside Australia. It includes a provision for ISPs to provide one of the approved filters listed in Schedule 1 of the Code.

It's illegal to advertise interactive online gambling.

It's generally illegal to advertise interactive online gambling to Australian audiences.

The prohibition is established under Part 7A of the Interactive Gambling Act 2001. It applies to all forms of media, both electronic and non-electronic, including advertising over the internet, broadcast services, print media, billboards and hoardings. It means that websites designed for a specifically Australian audience will not be able to carry interactive gambling advertisements.

There are exceptions, including political advertising, incidental or accidental advertising, and advertising in imported print publications or websites that are not aimed specifically at an Australian audience.

Internet service providers are generally protected by the Criminal Code from liability for third-party content that is innocently transmitted over their networks. In other words, an internet service provider or other third party can only be guilty of the offence if it knowingly or recklessly transmits the advertisement.

This is provided for by section 5.6 of the Criminal Code, which now applies to most Commonwealth legislation with criminal offences. The advertising ban in Part 7A of the Interactive Gambling Act 2001 is broadly based on the Tobacco Advertising Prohibition Act 1992.

Online gambling complaints

If you believe a prohibited gambling activity is being offered or advertised over the internet to people in Australia, you can complain to the Australian Communications and Media Authority (ACMA) using their online complaint form.

Reports on breaches of the gambling advertising rules

The Minister publishes a report of the number and nature of contraventions of the prohibition on interactive gambling advertisements and on any action taken by the Minister or Commonwealth agency in response to each contravention.



chapter 2

ECONOMIC SCENARIO



India is gradually developing itself as a fantasy sports hotspot, owing to widespread internet access and use of mobile technology, both which are considered contributors to rise of sports in the country

In India, cricket is the most prominent online fantasy sport with the highest user base. With the rapid increase of domestic leagues across other sports such as Football, Kabaddi, Hockey etc, these sports also gained popularity within a short span of time.

Sports Operator	Sports Offered
Dream11	Cricket, Kabaddi, NBA, Hockey, Football
PayTM First Games	Cricket, Football
MPL	Cricket, Football and Rummy
Myteam11	Cricket, Football, Kabaddi, Hockey, Volleyball
Gamezy	Cricket

Some of the major active fantasy sports operators inIndia are Dream11, Myteam11, MPL, Gamezy, PayTM First Games etc.

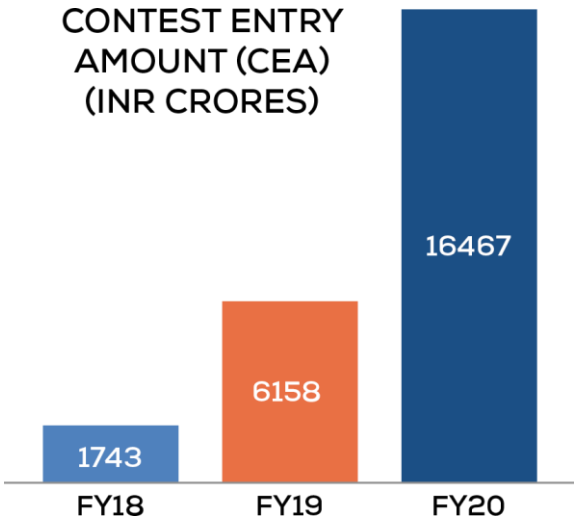
While the country was hit by COVID -19 pandemic, the fantasy sports industry gained strong footholds within the Indian entertainment industry as countless people were forced to stay indoors and look for entertainment activities on the internet.

Gamers of all ages, game developers and designers, investors, and marketers all collaborate to create the most cutting-edge games, concepts, and offers for players in this ecosystem. As a result of all of this interest and potential, India is one of the most important gaming marketplaces among growing global economies. The Online Fantasy Sports platforms saw a tremendous increase from 10 platforms in 2016 to over 140 platforms by 2019[10]. Several Indian Fantasy sports operators used this opportunity to grow their customer bases with great success giving a whole new boost to the gaming ecosystem within the Indian economy.

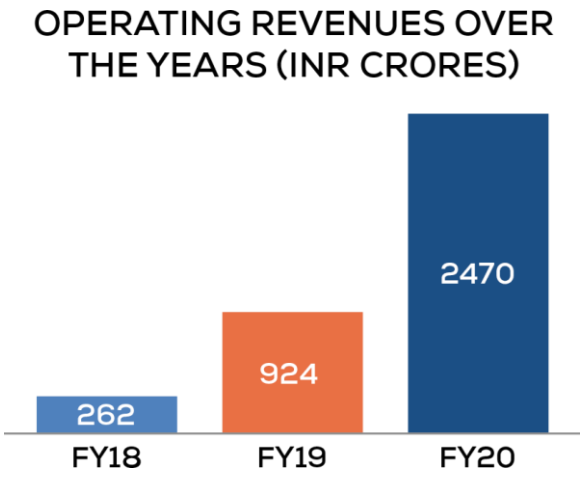
[10]https://www.ibef.org/research/newstrends/indian-fantasy-sports-platforms-report-three-fold-jump-in-fy20-revenue-study

As per a report published by Statista Research Department, the user base of the Online Fantasy Sports industry in India by FY19 was about 72.2 million users.

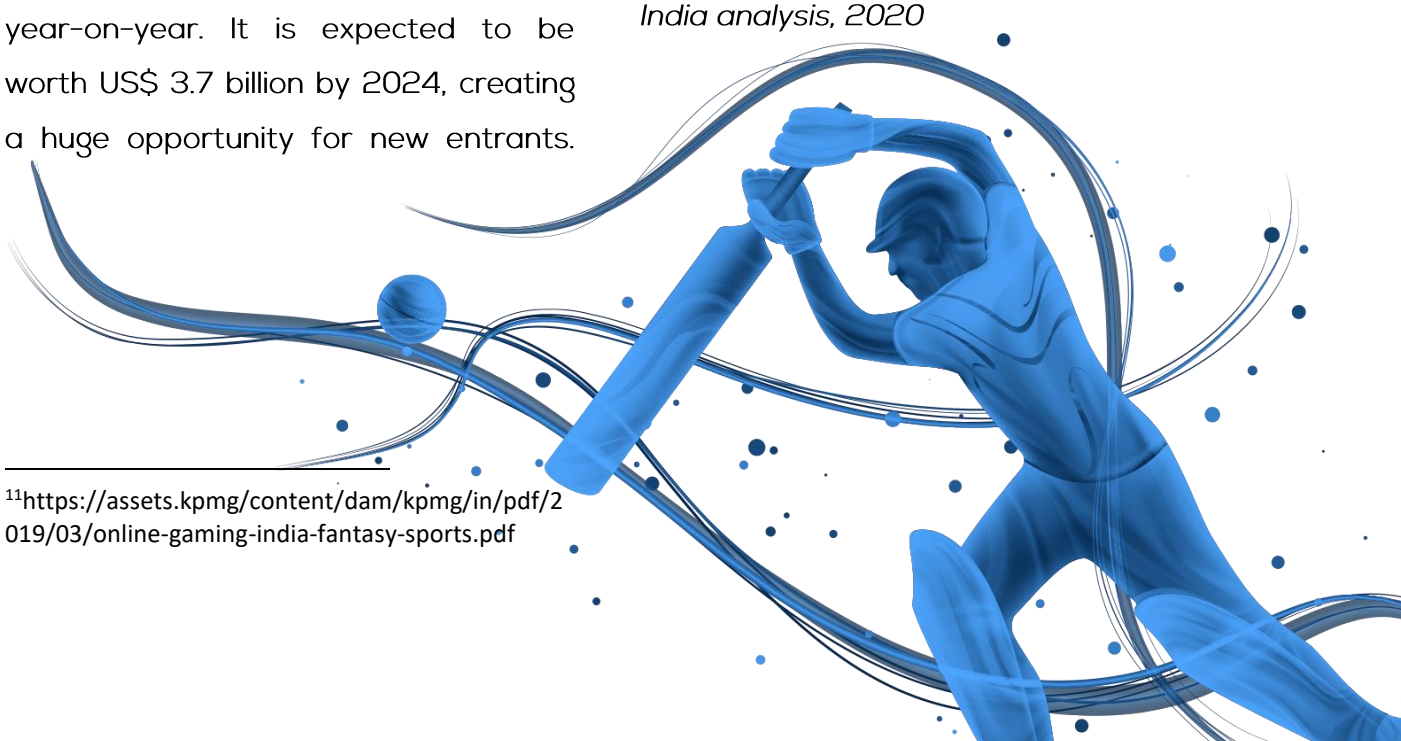
The exponential rise in online fantasy sports user base has led to an increase in platform transactions resulting in surge in the Contest Entry Amount (CEA) for the industry. The growth in OFS user base has translated to transactions on the platforms as well, resulting in an exponential growth of the Contest Entry Amount (CEA) for the industry. As per FIFS- KPMG 2020 report[11], CEA of online fantasy sports market doubled to Rs. 16500 Crores in FY 20 from Rs. 6000 Crores in FY 19, at a growth rate of 167% over FY19-FY20. Gross revenues of online fantasy sports operators stood at Rs. 2,470 crore (US$ 340.47 million) in FY20 compared to Rs. 924 crore (US$ 131.64 million) in FY19, up almost three times year-on-year. It is expected to be worth US$ 3.7 billion by 2024, creating a huge opportunity for new entrants.



Source : Industry discussions, KPMG in India analysis, 2020



Source : Industry discussions, KPMG in India analysis, 2020



[11]https://assets.kpmg/content/dam/kpmg/in/pdf/2019/03/online-gaming-india-fantasy-sports.pdf

Some of the recent key investments in the fantasy sports segment are outlined below.

Year	OFS Platform	Key Investors	Deal Value (Rs. in crores)
2019	Dream 11	Steadview Capital, Tencent Holdings	1200
2019	PayTM First Games	SAIF Partners	175
2021	MPL	Composite Capital Managem ent	$95 Million

Source: - Secondary Resources and KPMG in India Analysis ,2020

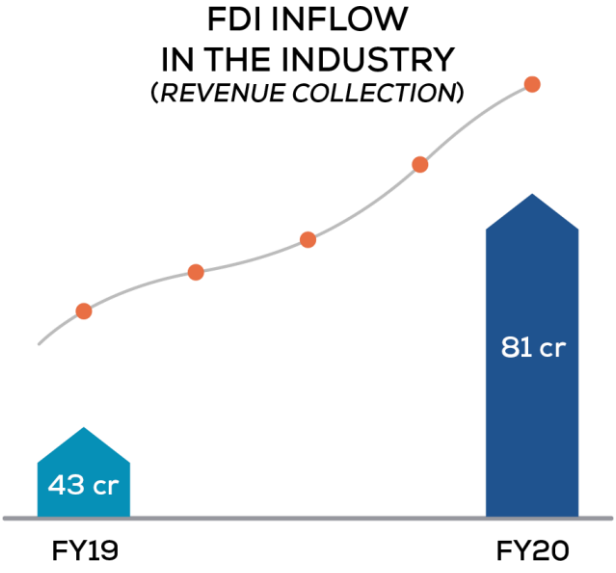
Impact of Fantasy Sports on Indian Economy

Fantasy Sports have a dual impact on the Indian Economy which can be divided into direct impact and indirect impact.

Revenue generation, employment opportunities and tax payments are all direct contributories to the economy. Furthermore, the sector functions in such a way that it generates additional income to the users in form of winnings. TDS on winning amount is another source of revenue to exchequer in terms of taxes. The inflow of FDI into the Indian economy as a result ofthe lucrative opportunities in the fantasy sports business is unprecedented.

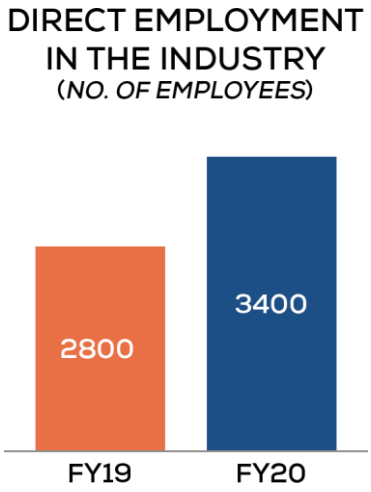
The indirect impact is via the growth of ancillary and support service providers of OFS industry who also contribute to the economy in terms of revenue, employment, and growth prospects.Along with these quantifiable contributions,OFS industry has been a crucial catalyst in promoting digital adoption in the Indian economy, accelerating India's projected transformation into Rupees 70 lakh crore digital economy by 2025. It also led to new revenue streams for OTT platforms in the form of advertising fees and sponsorship opportunities for sports organizations,

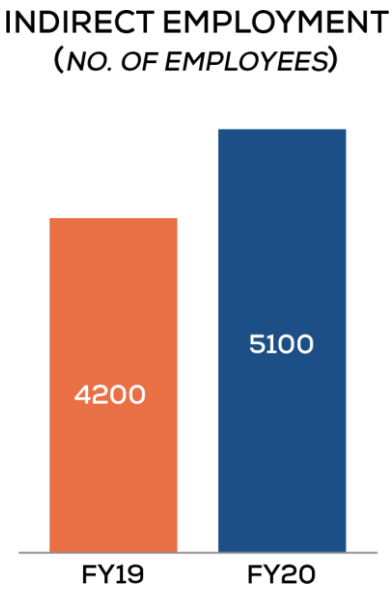
As per KPMG Analysis, the FDI inflow in the industry amounted to Rs. 1500 crore in the financial year ending 2019



and in respect of income tax paid by direct employees, the total revenue collection increased from Rs 43 crore in FY 19 to Rs 81 Crore in FY 20.

In regard to employment creation by OFS operators, direct employment at the end of FY19 stood at 2800 employees, which rose to 3400 on-payroll employees by FY20.



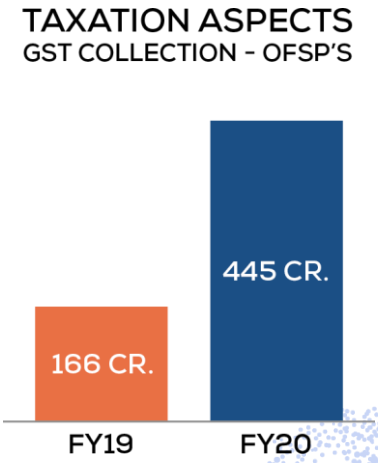


Indirect employment creation takes place through the ancillary industry and formal sector service providers. The said number was approximately 4200 by the end of FY19 and rose to 5100 employees by FY20.

TAXATION ASPECTS

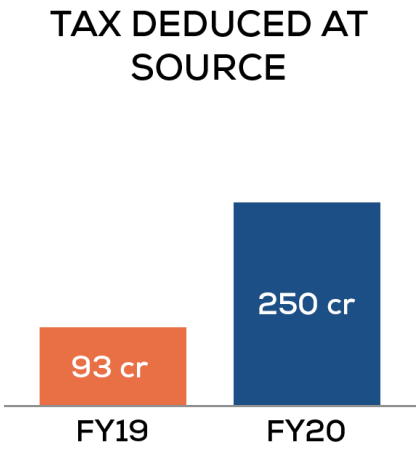
Fantasy Sports have made a major contribution of revenue to the Government through income tax and GST generated from users and platforms.

According to KPMG-analysis 2020, GST collection from online fantasy sports platforms and operators have increased significantly in past periods, with ₹166 crorein FY19 and ₹445 crore in FY20.



The tax deducted at source on winnings also saw a tremendous jump from Rs 93 crore in FY to Rs 250 crore in 2020.

This is in direct correlation with the extra winnings generated by the OFS platform which rose from approx. Rs 5230 crore in FY 19 to Rs 13,997 crore in FY 20. The revenue of the Government is split into two parts one being in form of GST from the platform of gaming and other in form of Income Tax by the individual who wins a prize amount in the game.



Part One - Liability of gaming platform

This aspect was subject to major litigation and controversies in India for a long time. The point under challenge before the various Hon'ble Courts was whether the online fantasy sports constitute a part of gambling or not.

The issue was settled by the decision of Hon'ble Supreme Court which upheld the decision of Hon'ble Bombay High Court and categorically stated that it is game of skill and will not fall under the category of gambling or betting that requires no skill and only luck. This clarification has solved the issue of applicability of GST on the gaming platforms.

The other aspect which comes before the Hon'ble Courts in case of online gaming is applicability of GST on the total pooled amount or only on the part of commission.

Schedule III read with Section 7 of Central Goods and Service Tax (CGST) provides that certain activities are exempted from the levy of GST as they are not considered as supply of goods or supply of services. All the actionable claims fall under the activities mentioned in Schedule III. However, it does not include lottery, betting and gambling which is subject to GST at rate of 28%.



Rule 31A of CGST Rules, 2017 provides for the valuation of supplies of actionable claim in the form of chance to win in case of betting, gambling or horse

racing in a race club where 100 % of the face value of the bet or the amount paid into the totalisator should be considered for calculating GST.

The Hon'ble Bombay High Court in Gurdeep Singh Sachar vs Union of India held that the scope of definition of consideration extends only in relation to the supply of goods or services or both. In the case of the Online Fantasy Sports platform, money is being pooled from the various players and after deducting the commission, the balance is distributed to the winner. The amount collected by the sports platform from the users for which only acknowledgement is given relates to actionable claim, other than lottery, betting and gambling, as per Schedule III and Section 7 of the Act which is not considered as 'supply of goods' or 'supply of services' and Rule 31A is not applicable on such actionable claim as it being other than lottery, betting, gambling and horse racing. Therefore, the imposition of GST on such actionable claim in relation to Online Fantasy Sports Gaming cannot be levied.

Further the Online Fantasy Sports are liable to pay GST @ 18% on commission charged against the services provided through the platform to the users.

As per Section 194B of the Income Tax Act, 1961, the online fantasy sport platforms also need to deduct tax at source if the winning of the user exceeds Rs. 10000 per contest.

Part Two – Liability of User/Players

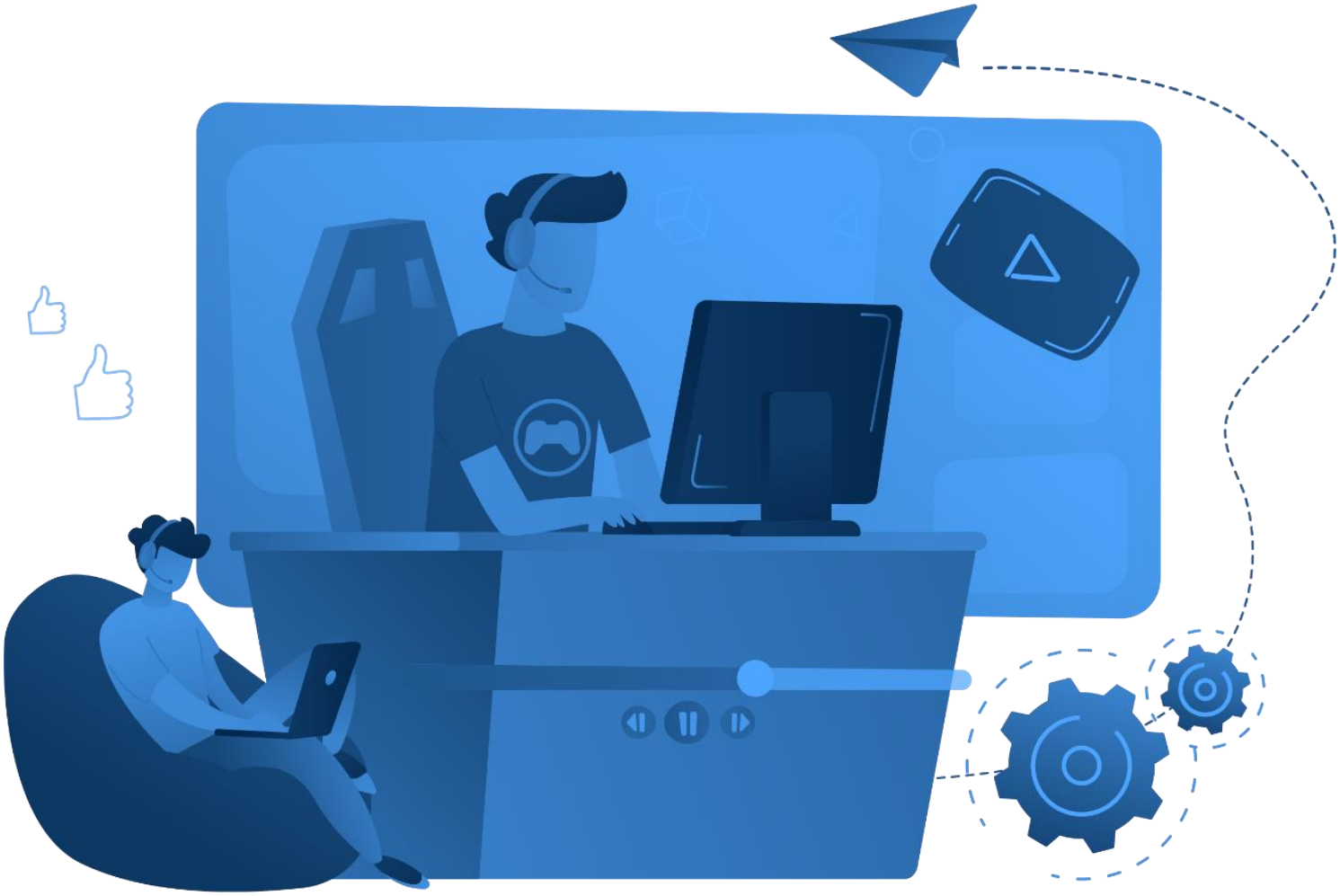
The taxability of the income earned from online gaming is governed by Section 56(2) of the Income Tax Act, 1961 which states that winnings from lotteries, crossword puzzles, races, card games and other games of any sort, gambling, betting shall be liable to tax at the flat rate of 30% as per section 115BB of Income Tax Act.

It is apposite to highlight herein that GST Council in its 35th Meeting[12] held on 21st June 2019 discussed various issues relating to GST on Lottery regarding the prevailing tax structure and enforcement issues.

Recently, the Goods and Service Tax (GST) Council has constituted a seven-member panel of Ministers from different states to assess the valuation and taxability of services offered by casinos, gaming websites, and race tracks. The

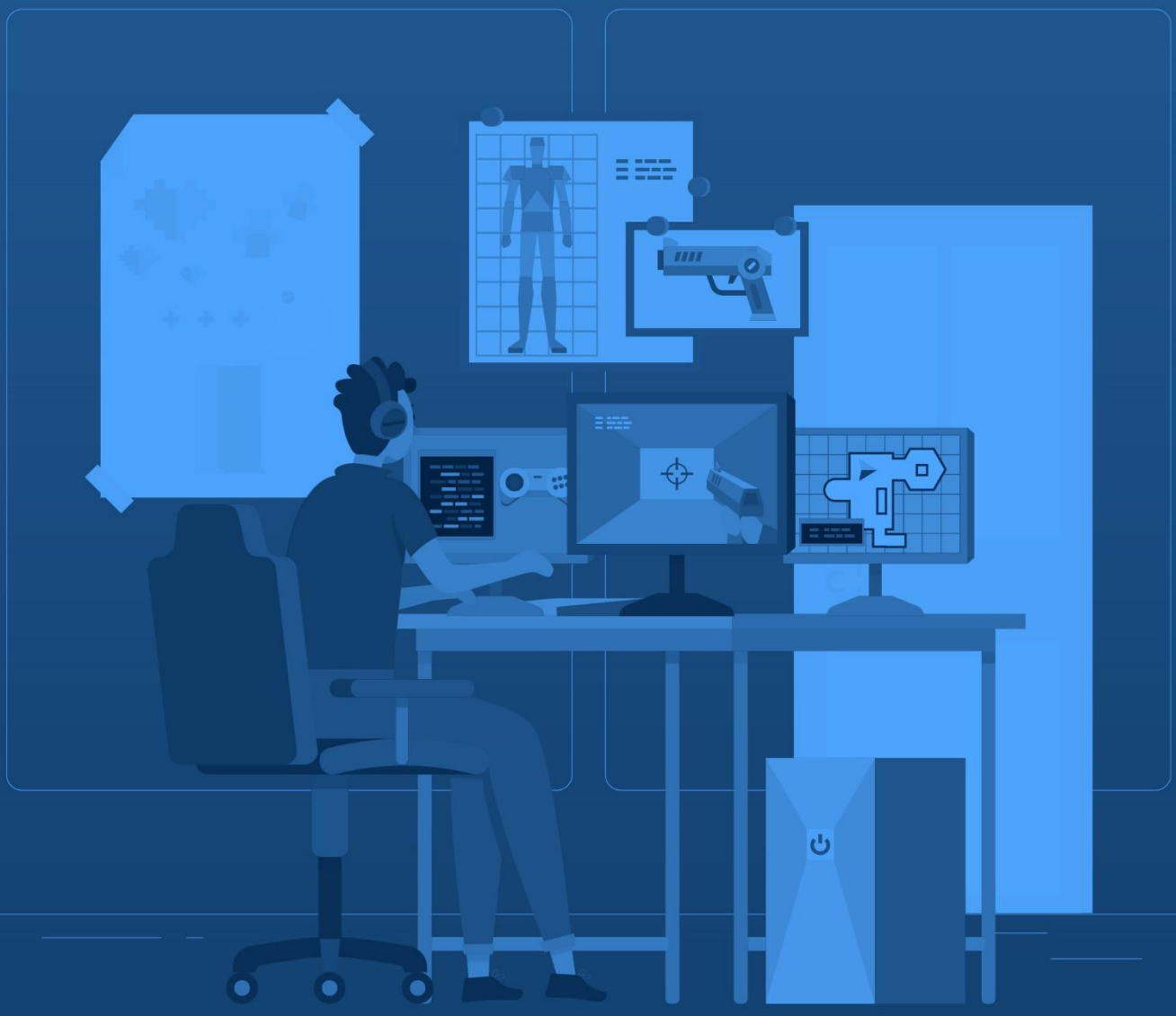
[12] http://www.gstcouncil.gov.in/meetings

panel of members will also look into the administration of the regulatory framework for valuing these services and make recommendations for revisions to the legal rules and valuation techniques.

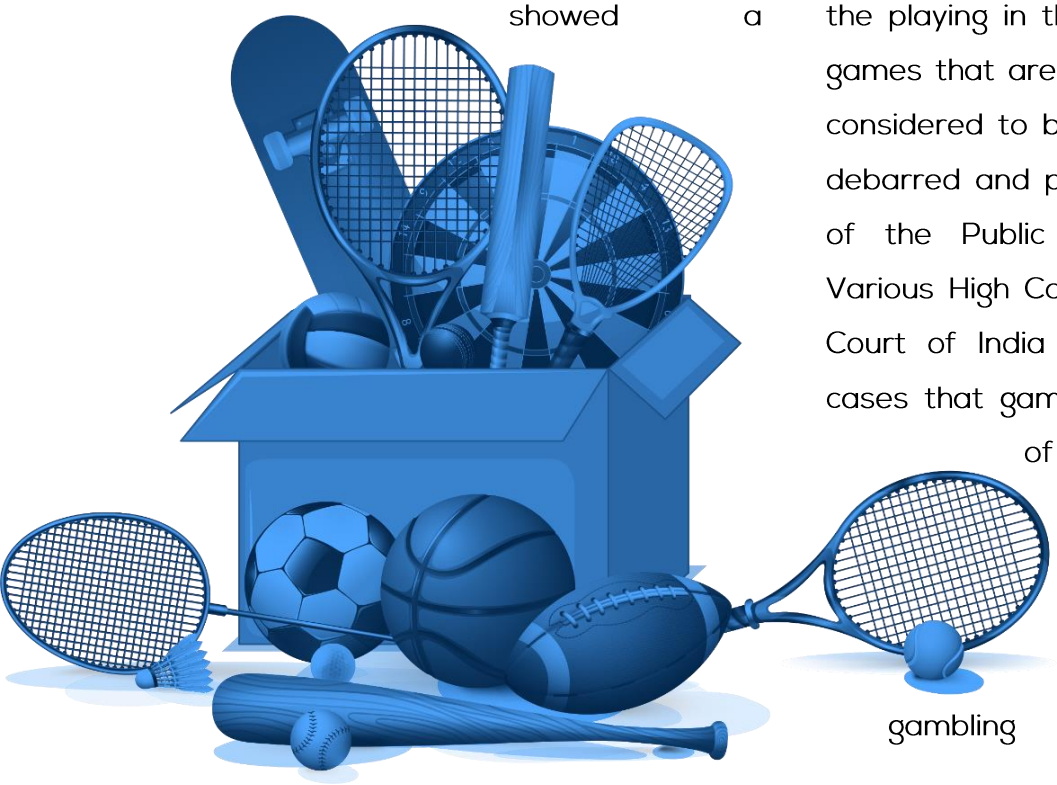


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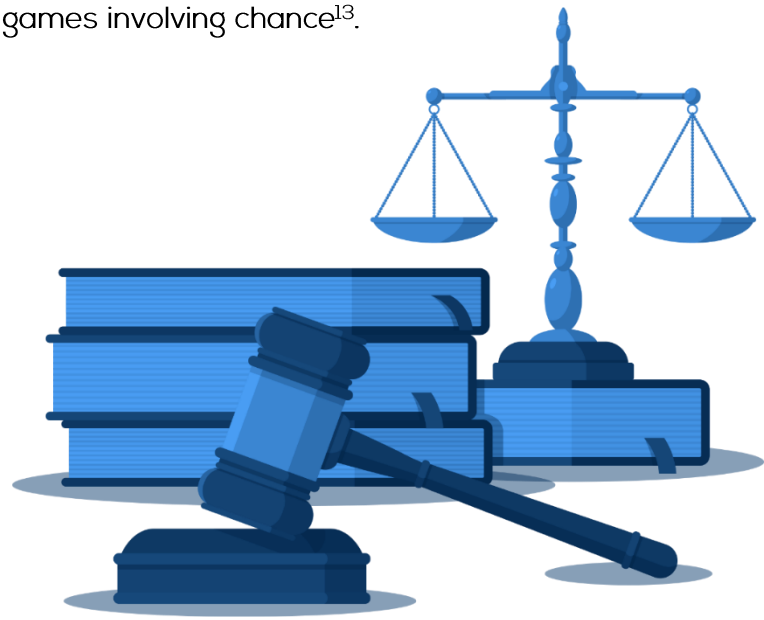
REGULATORY FRAMEWORK -ONLINE GAMING INDUSTRY



Indubitably, the Online Gaming industry has gained everyone's eye as a reason for its growth at a fast pace in the country. As such, the industry appeared to have been targeting every household from a rural village to urban cities. Amid a globally hit pandemic, industry showed a remarkable growth as the individuals were keen to move online. However, the regulation of such games in India continues to be inconsistent across the country with no uniform law guiding online gaming operators. It is needless to mention herein that every industry, in its nascent stages of growth seeks to protect themselves under a regulatory framework in order to offer and counter offer products and services in a legitimate and legal manner.

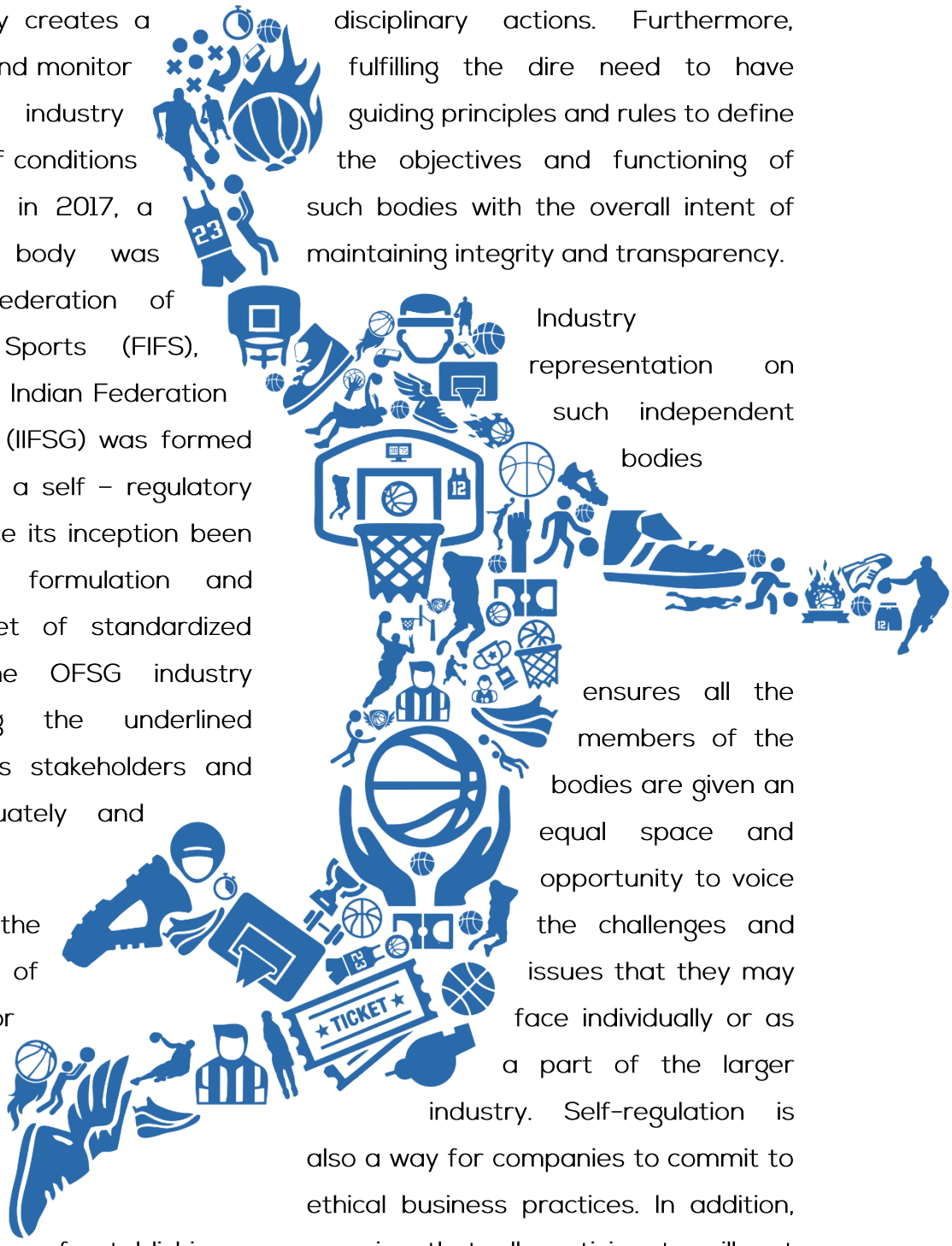


It is worthwhile to mention herein that insofar as regulation of online games is concerned, the same shall be understood about all the online games which require considerable use of skill i.e., while playing the game the individual should put in skill to forecast the playing in the game; however, the games that are devoid of skill and are considered to be game of chance are debarred and prohibited by the virtue of the Public Gambling Act, 1867. Various High Courts and the Supreme Court of India have ruled in several cases that games, where the success of a candidate depends on the use of substantial skill, as such, would not be hit by the Indian gambling regulations, even in games involving chance[13].



[13]W.P. Nos. 18022/2020

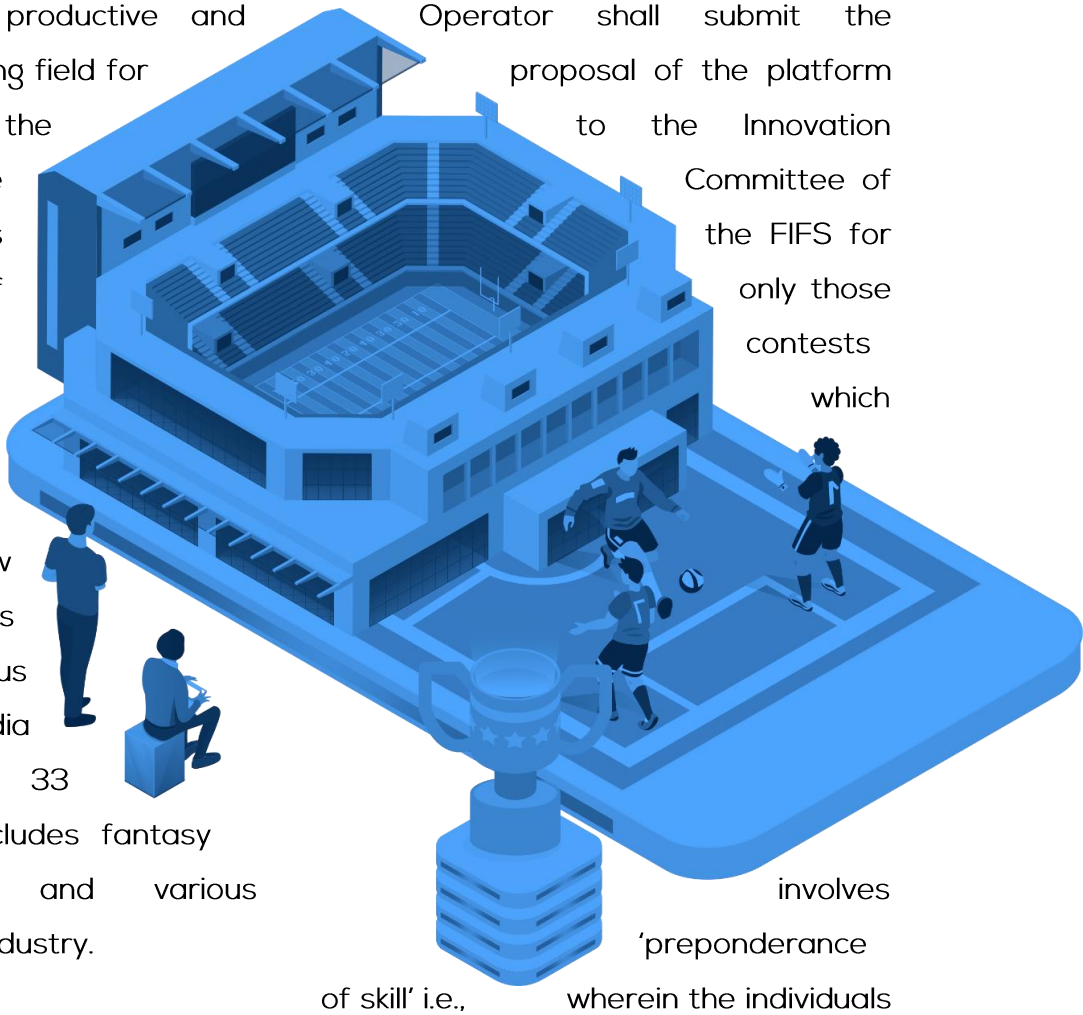
While this explicitly creates a need to regulate and monitor the fast-growing industry with certain sets of conditions and requirements, in 2017, a self- regulatory body was founded. The Federation of Indian Fantasy Sports (FIFS), erstwhile known as Indian Federation of Sports Gaming (IIFSG) was formed as and in form of a self – regulatory body that has since its inception been working towards formulation and monitoring the set of standardized practices for the OFSG industry thereby ensuring the underlined interest of various stakeholders and consumers adequately and appropriately.



In India, the establishment of Board of Control for Cricket in India (BCCI) made the idea flourish by regulating organizations by way of establishing a self-regulatory body. As such, the self-regulatory establishments need arise to ensure the working of the targeted organizations so to say that such organizations if violates the principles set forth by the body can be subject to disciplinary actions. Furthermore, fulfilling the dire need to have guiding principles and rules to define the objectives and functioning of such bodies with the overall intent of maintaining integrity and transparency.

Industry representation on such independent bodies ensures all the members of the bodies are given an equal space and opportunity to voice the challenges and issues that they may face individually or as a part of the larger industry. Self-regulation is also a way for companies to commit to ethical business practices. In addition, ensuring that all participants will not violate the ethics outlined by FIFS, so to say, that this has come to provide impetus for the department to learn from other participants and commit to common growth and innovation. Self-regulation also ensures transparency

and greater mutual understanding between participants who coexist in the space. It is also productive and provides a level playing field for new entrants in the industry. To cater the need of the platforms providing services of online fantasy sports gaming, the FIFS being the only self – regulatory body in India has framed slew of general principles pursuant to the various court rulings in India and has close to 33 members[14] which includes fantasy sports operators and various stakeholders of the industry.



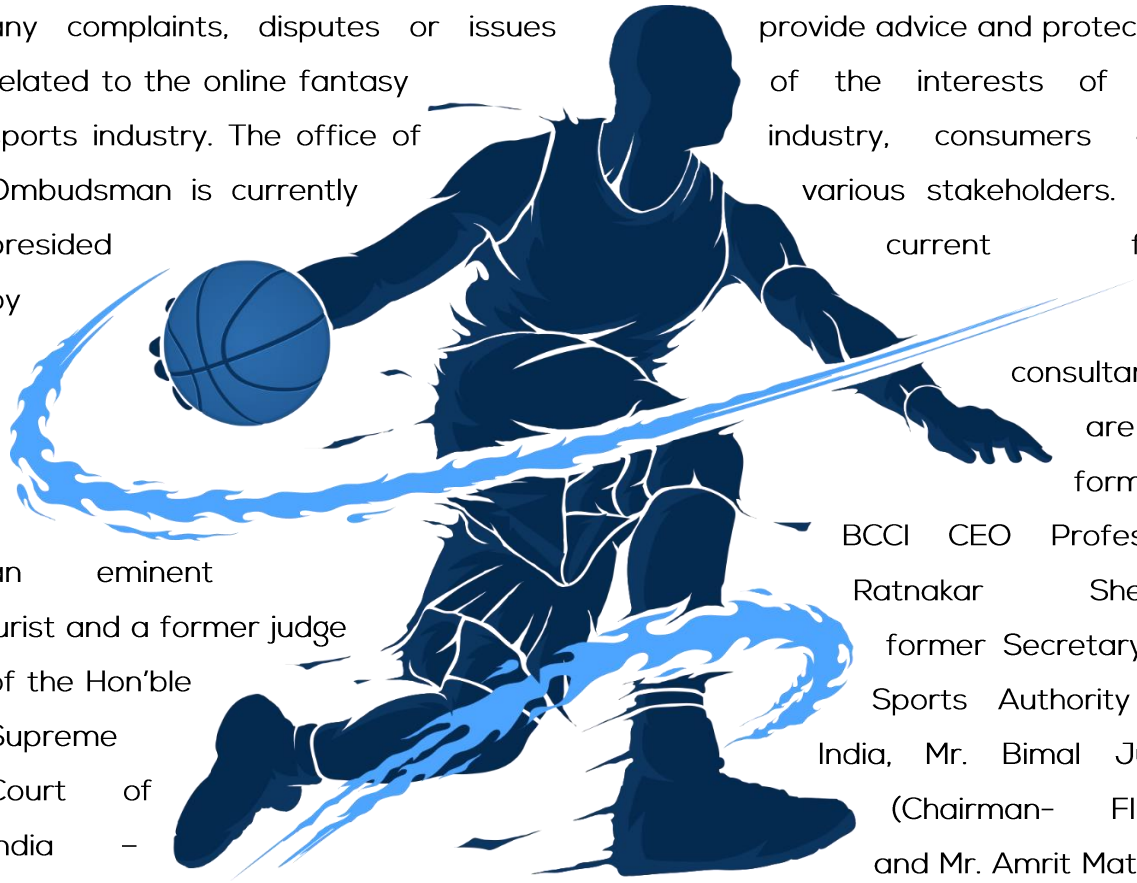
FOSTERING THE SPORTING MINDSET

The Gaming Charter[15]was introduced by the FIFS (erstwhile IFSG) in order to introduce a self-regulatory mechanism for Online Fantasy Sports Platforms OFSP's within the territory of India. The Charter attempts to carve out a to-do list for the operators of OFSP's, it guides that to qualify as a valid Operator under FIFS scheme the Operator shall submit the proposal of the platform to the Innovation Committee of the FIFS for only those contests which involves 'preponderance of skill' i.e., wherein the individuals have to apply aptitude rather than chance to secure winning outcome.

The success of self-regulatory is also highly dependent on industry interests and commitments. All participants in this industry which are FIFS signatories, are implied to be fully consistent with the current legal status granted by various court decisions. The role of FIFS also extends to protect consumers associated with the online fantasy sports industry. According to the FIFS

[14]https://fifs.in/wp-content/uploads/2020/01/FIFS.Charter.Jan2020.pdf
[15]*ibid*

website[16], they established the Office of the Ombudsman and Ethics Officer in January 2020. The FIFS Ombudsman Office is established to receive, consider, investigate or resolve any complaints, disputes or issues related to the online fantasy sports industry. The office of Ombudsman is currently presided by an eminent jurist and a former judge of the Hon'ble Supreme Court of India – Retd. Justice Arjun Kumar Sikri, appointed by the Governing Council of FIFS[17].



The functions of the Ombudsman office are to represent the interest of stakeholders and public at large by an independent, fair and absolute investigation and to provide a platform for addressing complaint(s) against flouting the principles set out under the FIFS Gaming Charter or representations pertaining to any practices of mal-administration. To ensure a robust framework the FIFS is equipped with strategic consultants to provide advice and protection of the interests of the industry, consumers and various stakeholders. The current four consultants are former BCCI CEO Professor Ratnakar Shetty, former Secretary of Sports Authority of India, Mr. Bimal Julka (Chairman- FIFS), and Mr. Amrit Mathur, former Additional Sales Tax Commissioner. As such, the FIFS strives to provide the necessary framework, it can be safely construed that FIFS is eligible to be recognized as a self-regulatory agency for the online fantasy sports industry and the framework in which this industry needs to operate is guarded within the realm of administrative support structure and a Gaming Charter for online fantasy sports gaming.

[16] https://www.fifs.in/
[17] *ibid*

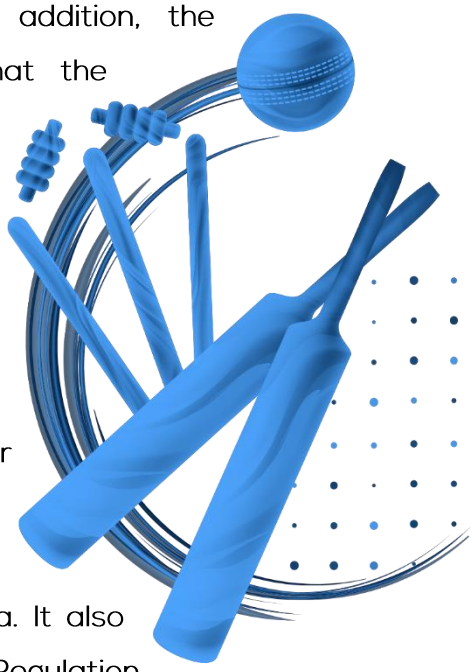
THE CHARTER FOR OFSP's- RUBRIX

It is apposite to highlight the framework of the Charter for Online Fantasy Sports Platforms adopted by the members of the industry to fathom the operations of the body, salient features of which are set out herein below: -

- The Charter prohibits the members of OFSP's to offer play-to-play contests to the User(s) who are less than 18 years of age.
- Members of the OFSP's have to ensure that there is no default selection of fantasy sports teams in order to ensure the facet of 'predominance of skill' in every game.
- A major restriction has been imposed by the Charter on editing or re – drafting the user chosen fantasy sports team during the course of a match or even post-match.
- Winning in the game offered on the OFSP's shall not be based on simulated, randomized or pre match history of any sports matches.
- Users on OFSP's will be restricted to choose less than 75% fantasy players from a single real-world team squad.
- Members of OFSP's have to ensure that a play – to play contest should be made out pursuant to at least one real-world sports match.
- Members of OFSP's have to make a succinct distinction between "fantasy sports" and "sports betting". As such, the members are required to communicate the same to its users and public at large.
- Members of OFSP's will ensure that only real-world players and athletes will be drafted for fantasy sports teams.
- Users on OPSP's are required to draft their fantasy teams consisting of at least such a number of players that would constitute the starting line of one team in a real-world sports match.
- Scoring in the fantasy sports match shall not be conclusive solely on the basis of any point result, score or half declared results of any single real – world team or any combination of real – world team(s).

On a comprehensive perusal of the above narrated directions at length by various High Courts and Supreme Court of the country, it would be relevant to highlight that the Courts have *inter alia* observed that the FIFS Charter ensures that the set of games run under the aegis of FIFS or by its affiliated members are the games of skill and thus the same are completely devoid of the facets such as betting and gambling. In addition, the Courts in the country have categorically recognized the status of FIFS as the only self-regulatory mechanism that has ensured the operations of online fantasy gaming operators pursuant to the general principles of law. As such, the environment and nature of FIFS body has been that the players/users are truly involved in the game and therefore involving the facet of skill involvement becomes imperative and undoubtable. Further, it has been recognized by various courts of the country that there is a need of robust regulatory framework to create opportunities in online fantasy gaming space[18].

Recently, a petition was filed wherein the Petitioner sought directions from the division bench of *Hon'ble Rajasthan High Court*[19] to regulate and prohibit any online games or online fantasy games involving "mere skill by putting stake for an outcome of winning". In this matter the Learned Division Bench of the Hon'ble Rajasthan High Court was pleased to observe that online fantasy games that are running in consonance with the FIFS Charter is a business and therefore enjoys protection under Article 19(1)(g). In addition, the court observed that the act of the State Government in prohibiting all sorts of online fantasy gaming would be a derogation of rights enshrined under Article 14 and Article 19 of the Constitution of India. It also relied on the Draft Regulation Guidelines issued by Niti Aayog as well extensive research conducted by premier institutes like IIM Bangalore and MIT to remark that online fantasy gaming involves substantial amounts of skill to procure favorable outcomes.



[18]D.SiluvaiVenance vs. State of Tamil Nadu / Criminal OP.(MD)No.6568 of 2020

[19]Saahil Nalwaya vs State of Rajasthan & Anr. /D.B. CWP 2026/2021

In another case of *Chandresh Sankhla vs. State of Rajasthan and Ors.*[20], the Rajasthan High Court examined the growing space of online fantasy sports gaming in India. It further noted that the Charter approved games are not betting or gambling rather the same involves considerable skill for a player to showcase similar to that of a manager of a mutual fund manager.

FANTASY GAMING – ADVERTISEMENT GUIDELINES 2020

As such, there is no official legal document that can be used to claim and prove formal regulations with regards to online fantasy sports gaming however, it is worthwhile to highlight that in order to promote and advertise the word of mouth for fantasy gaming in India, a self-regulatory body *Advertising Standard Council of India*[21] "ASCI" has issued a certain set of frameworks for the same. The primary and foremost role of the body is to ensure an efficient playing field for OFSP operators and various stakeholders.

[20]2020 SCC OnLine Raj 264

[21]https://www.ibfindia.com/advertising-standards-council-india-asci

AN OVERVIEW

General

The guidelines were issued in relation to online gaming for real money winnings. As such, it became effective from 15.12.2020. The advertisement guidelines majorly touchstone two questions – (i) financial loss in playing fantasy games, (ii) ensuring a non-addictive gaming mechanism for such games. According to ASCI guidelines, all fantasy game-related advertisements must contain certain mandatory statements and declarations (regardless of whether such advertisements are in print or audio / video format). A brief overview of ASCI guidelines has been incorporated herein below: -

Disclaimers

i. OFSP's are mandated to depict the following disclaimer on their respective platforms - *"this game involves an element of financial risk and may be addictive. Please play responsibly and at your own risk."*

ii. The disclaimers in print and static advertisements must conform to the following: (a) occupy at least 20% of the advertising space, (b) use the same language and font, (c) usage of italics should be avoided (d) are in the

same direction as most text, and are eye-catching and easy to read.

iii. The disclaimers in audio visual mediums must conform to the following (a) it should be recorded at normal pace speed at the end of the advertisement, (b) the language of such disclaimer should not differ with that of the advertisement, (c) in audio- video mediums, and disclaimers should follow in both audio and visual formats.

Prohibition on depiction of minors

- There should be an absolute prohibition on any such advertisements which depicts any person below the age of 18 years or who appears to be below the age of 18 years for the real money winnings.

No facets of life- success should be involved

- As such, no such advertisement should imply that people who participate in gambling activities are more successful than others.

It can be safely construed that the gambling advertisement and guidelines appear to have been issued in response to concerns about misleading advertisements related to online gaming or fantasy gaming in particular. In addition, the advertisement requires all broadcasters to ensure that the advertisements do not promote any activity prohibited by law. Therefore, this means that all sorts of advertisements concerning online gaming advertisements cannot be made to be broadcasted in the restricted states of the country. However, it is imperative to highlight that such announcement did not provide any sorts of penalties for broadcasters who are found to be flouting the advertisement guidelines.

INFLUENCER GUIDELINES

In addition to the aforementioned guidelines the Advertising Standard Council of India on 22.02.2021 issued ancillary guidelines – *"Influencer Guidelines"*[22] to regulate all sorts of advertisements concerning the digital media. Unquestionably, with the number of growing influencers in today's tech world their followers or users also appear to grow proportionally. As such, the Influencer guidelines suggest certain mandates that are required to be followed by the influencers. Further, the primary objective of these guidelines is to

[22] *ibid*

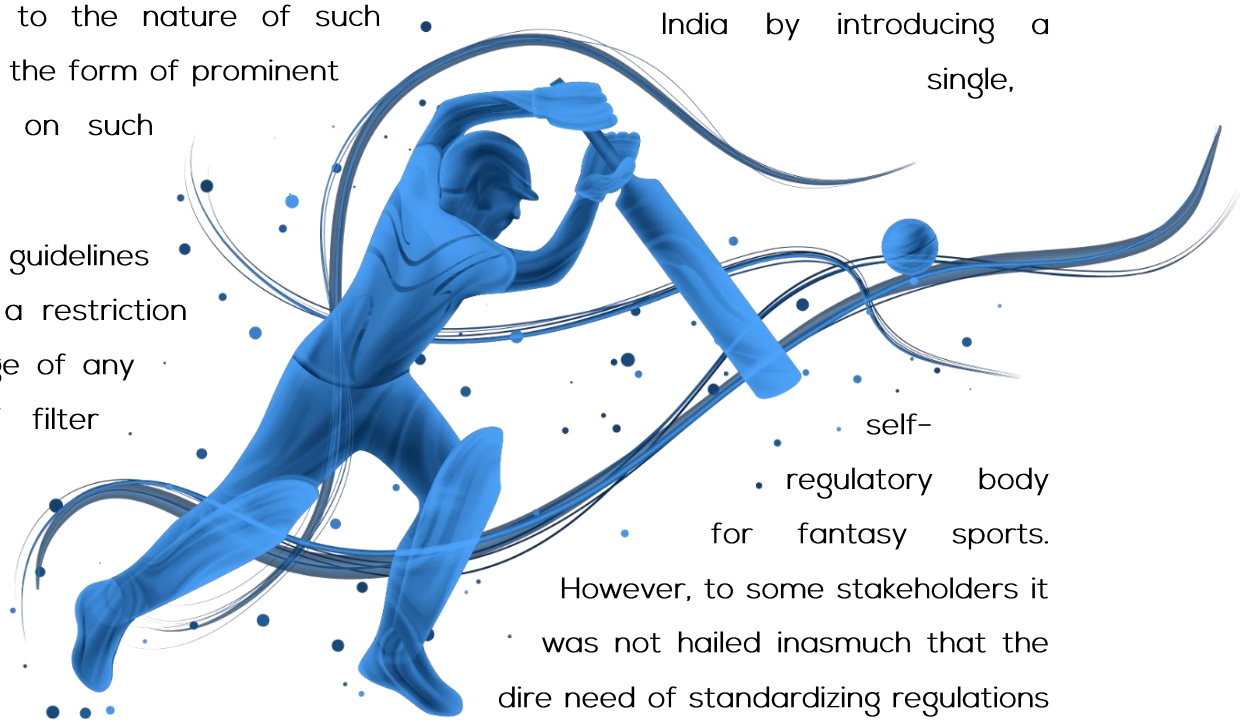
ensure the veracity of claims made by virtue of publication of any post on digital media as well as to keep its users aware of all sorts of risks associated with online gaming. The salient features of these guidelines are incorporated herein below: -

i. All sorts of digital media posts are required to contain disclosures with regards to the nature of such posts in the form of prominent labelling on such posts.

ii. The guidelines impose a restriction on usage of any sort of filter which can deceive the true meaning or nature of the post.

iii. It mandates all the influencers to run a comprehensive due diligence test with regards to any claims made in a post.

iv. The guidelines ensure that labelling and disclosures to be followed in picture posts and audio posts.



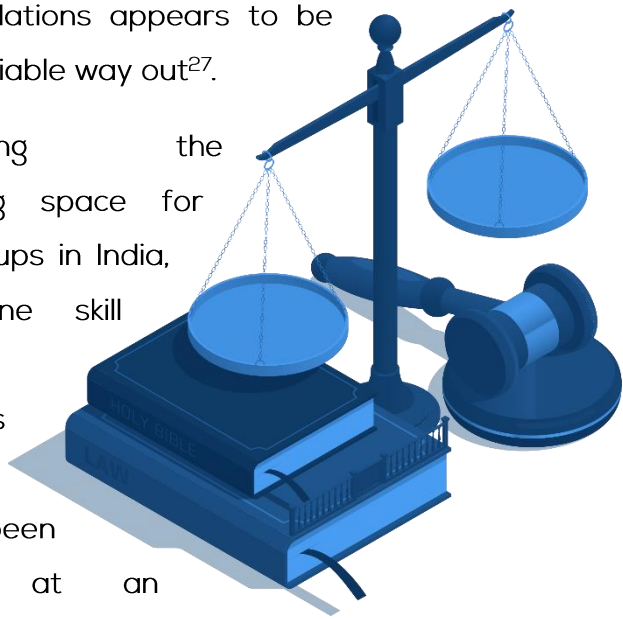
UNIFORMGUIDING PRINCIPLES- LOOPHOLES

The technology think tank, *Niti Aayog* which runs under the aegis of the Central Government issued draft guidelines in December 2020[23] to regulate the fantasy gaming industry in India by introducing a single, self-regulatory body for fantasy sports. However, to some stakeholders it was not hailed inasmuch that the dire need of standardizing regulations with regards to online gaming was not touched upon profoundly. Further, it is imperative to fathom the difference between online skill gaming and fantasy gaming as such, the fantasy games form a minor part of the entire skill gaming industry and therefore, if not at the first, there lies an explicit need to regulate the larger sect of the industry.

[23] https://www.niti.gov.in/

Unquestionably, India's online skill gaming industry stands on a fragile pedestal due to a complicated set of various state laws and regulations. KPMG in its report noted that there should a robust set of frameworks for the online skill gaming industry as it aims to tender tentatively around Rs. 5,250 crores in the years to come[24]. In addition, insofar as the validity of skill gaming in India is concerned the same is no longer a *res integra* and enjoys protection within the contours of Article 19(1)(g) of the Constitution of India[25]. In an industry discussion with various stakeholders, it was recommended that Niti Aayog should be more focused in implementing and setting a central body for entire skill gaming industry, considering that the Hon'ble Supreme Court of India in the year 1996 that horse racing and rummy to be games of skill[26].

It was further believed that in order to remove intricacies with regards to eliminating unprecedented players/operators who are catering the industry with their unrecognized and unscrupulous practise, having a robust framework and centralized set of rules and regulations appears to be the only viable way out[27].



Considering the flourishing space for the startups in India, the online skill gaming sector is seen to have been growing at an exponential rate with remarkable statistics of operators engaging roughly around 50,000 qualified design, product and technology resources thereby bolstering the entrepreneurs and startups in the country.

OTT AND ONLINE GAMING – A CAMOUFLAGED RISE

The skyrocketed figures concerning engagement on digital media platforms are of no surprise amid Covid-19 stay – at – home protocols. The OTT engagement and usage has been increased by 47 million between 2020 and 2021[28]. Another such reason for

[24]https://home.kpmg/in/en/home/insights/2021/06/digital-mobile-casual-gaming-in-india.html

[25]Avinash Mehrotra vs. State of Rajasthan &Ors/ SLP (Civil) Diary No. 18478/2020

[26]https://www.business-standard.com/article/economy-policy/gaming-industry-asks-for-niti-aayog-guidelines-for-all-online-skill-games-121012000571_1.html

[27]*ibid*

[28]https://www.uscreen.tv/blog/ott-statistics/

such a predominant boom in the industry is because of cost efficient plans getting introduced amid the epidemic thereby ensuring the rapid growth of the entertainment industry as a whole. These platforms are suitable for everyone, including TV series, music shows, documentaries, movies, sports shows, etc. The number of screens that can be used to access content and the corresponding screen time have been witnessed to be rapidly growing. This, together with the significant increase in the number of content providers, content diversity, and local language accessibility, has produced a combined effect of attracting, displaying and guiding new users who connect and discover various types of digital content.

In India, people have largely become aware of the forms of gaming – be it e-sports, fantasy gaming or skill gaming. In categorical research carried out by Sensor Data, massive growth was reported in the downloads of online games worldwide[29]. As such, the report claimed that nearly 17% of the total downloads of mobile games are from India. Unquestionably, mobile games in India contribute in the largest way possible therefore such is the reason for a remarkable growth of the industry.

It would be apposite to highlight that according to a research conducted by EY, E - sport market in India has attained INR 3 billion figures in the FY year 2020 however, it is expected to reach the mark of INR 11 billion figure by FY 2025[30]. In addition, Skill games have especially been shown to provide fair competition and the thrill of winning in the application of knowledge and skills.



[29]https://sensortower.com/blog/among-us-mobile-surpasses-85-million-downloads

[30]https://www.ey.com/en_in/media-entertainment/the-dawn-of-esports-in-india

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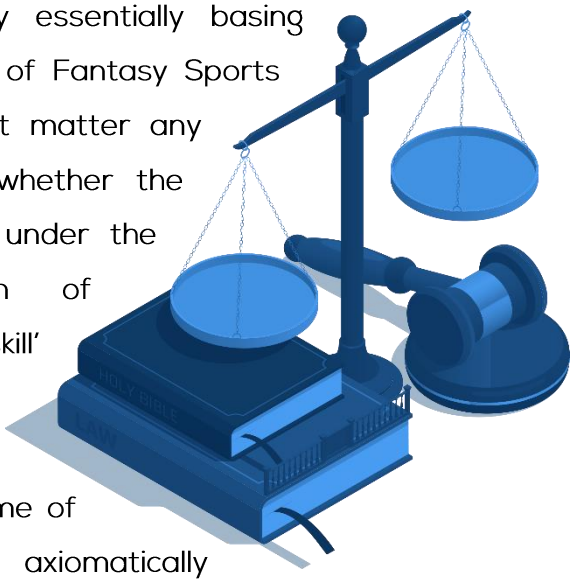
ONLINE GAMING
-THE LEGAL FRONT



Over the years following its inception in the Indian Market, the realm of 'Online Gaming' has come to endure plethora of challenges on the Legal Front. Most of these challenges ranged in terms of the levels of complexity, primarily owing to the well-intended yet cumbersome range of laws and statutes in force across the country. Simultaneously, the novel and unusual ideology which the 'Online Gaming' platforms happened to invariably be riddled with made it more or less certain that shackles of law are ready to be launched at them. One such domain of 'Online Gaming' pertains to the realm of 'Online Fantasy Sports', which has come face to face with numerous legal battles, wherein various High Courts and the Supreme Court have time and again been pleased to express their opinion. To examine the legality of Online Gaming, it is ideal to take a look upon the Online Fantasy Sports.

ONLINE FANTASY SPORTS- GAMBLING, OR BETTING, OR BOTH, OR NONE?

The primary and foremost challenge faced by the Online Fantasy Sports Gaming Platform came on the basis of the same being an event/series of events involving, strictly speaking, money, in one form or the other. As such, the ever-expanding popularity of the Fantasy Sports upon being coupled with a possible threat of being involved in gambling (or betting/wagering) in one form or the other challenged the moral compass of thousands of users across the country. The above-referred conundrum, however, can ultimately be resolved by essentially basing the legality of Fantasy Sports (or for that matter any sport) on whether the same falls under the classification of 'game of skill' or a 'game of chance'. While a game of chance is axiomatically considered gambling as per the Indian laws, a game of skill is beyond the purview of gambling. For the purpose of regulation of Gambling/Betting laws in India, the Public Gambling Act, 1867 is in force. As such, the Act criminalizes such actions that may amount to gambling by imposition of penalties along with other measures. However, what calls for attention is Section 12 of the Act, which excludes a game of 'mere skill' from the blanket of Gambling.



GAME OF 'MERE SKILL'

The landmark precedent wherein the term 'mere skill' was analyzed, examined and subsequently interpreted was the case of *State of Bombay v. R.M.D. Chamarbaugwala*[31], wherein the Hon'ble Apex Court categorically held that despite there being an element of chance, a game that involves preponderance of skill will be considered a game of 'mere skill'. Subsequently and thereafter, the above-referred analysis acted as a beacon of light for various forums including the Hon'ble Apex Court itself when facing the dilemma of categorizing games as a game of skill or not.

Yet another landmark judgment saw the Hon'ble Apex Court interpreting the Madras Gaming Act, 1930 along with the Madras Police Act, 1888, wherein it was determined that horse racing was a game of skill[32]. It is also notable that in the matter of *A.P. v. K. Satyanarayana*[33], the game of 'Rummy' was held to be a game of skill.In view of the above-referred facts, what can conveniently be concluded that if a game is based upon preponderance of skill, it is a game of skill or game of mere skill.

LEGALITY OF ONLINE FANTASY SPORTS (SKILL OR CHANCE)

As mentioned already, Online Fantasy Sports has endured plethora of thrills in the name of legal challenges, and the cornerstone of the majority of such challenges pertains to the never-ending debate of whether Fantasy Sports are a game of skill or game of chance. In the year 2017, this issue travelled up to the Hon'ble Punjab & Haryana High Court, when the case of *Varun Gumber v. Union Territory of Chandigarh*[34] came up before it. The case pertained to Dream11 Fantasy Sports Private Limited, and alleged that the activities being carried out by the same amounted to gambling. The Hon'ble P&H High Court perused the subject matter at length and after what may rightfully be termed as an insightful and detailed analysis, categorically held that the users of Dream11 exercised superior knowledge, judgment and

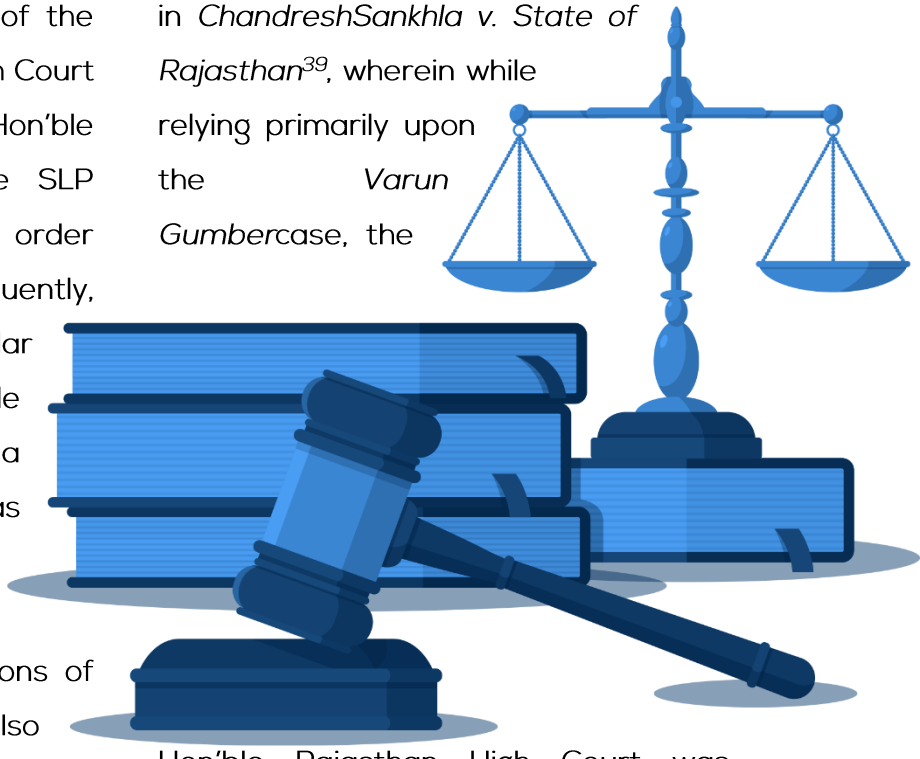
[31](1975) SCR 874

[32] **K.R. Lakshmanan v. State of Tamil Nadu (1996) 2 SCC 226**

[33](1986) 2 SCR 387

[34]2017 Cri. L.J. 3827

attention, and thus, the Fantasy Sports platform was based on an element of predominance of skill. Heavy reliance was placed on the *K.R. Lakshmanan case*[35], and it was observed that since the same involved substantial skills, the activities being carried out by Dream11 did not amount to gambling. It is also noteworthy that the Hon'ble P&H High Court observed, *inter-alia,* that Gambling is not a trade and thus, is not protected by Article 19(1)(g) of the Constitution of India. However, online fantasy games amounting to games of mere skill are not amounting to gambling, and thus, have the protection of Article 19(1)(g). The decision of the Hon'ble Punjab and Haryana High Court thereafter travelled to the Hon'ble Supreme Court[36], wherein the SLP came to be dismissed vide the order dated 15.09.2017. Subsequently, another judgment on similar footing was passed by the Hon'ble High Court of Bombay, wherein a Public Interest Litigation was filed[37].As such, the averments therein alleged that in addition to being violative of the provisions of the Gambling Act, Dream11 was also guilty of not adhering to the concerned provisions under the Central Goods and Services Tax Act, 2017. As such, the High Court of Bombay placed reliance on the *K.R. Lakshmanan* case and came to observe that the game did not amount to gambling for the reason of being a game of skill. Subsequently, the judgment came to be challenged before the Learned Division Bench of the High Court of Bombay and thereafter before the Hon'ble Apex Court, only to be upheld[38]. Thereafter, the issue pertaining to the legality of Dream11 came up before the Hon'ble High Court for judicature of Rajasthan in *ChandreshSankhla v. State of Rajasthan*[39], wherein while relying primarily upon the *Varun Gumber*case, the Hon'ble Rajasthan High Court was pleased to categorically hold that



[35] *ibid*

[36] SLP (Diary No. 27511/2017)

[37] Gurdeep Singh Sachar v. Union of India SCC OnLine Bom 13059

[38] SLP (Criminal) Diary No. 43346/2019

[39] 2020 SCC OnLine Raj 264

Dream11 involves 'substantial skills' and thus, was beyond the purview of gambling. As such, the issue was held as no more *res-integra*. However, in a subsequent case titled as *Ravindra Singh Chaudhary v. Union of India &Ors.*[40], the issue pertaining to Dream11 being covered under the purview of Gambling along with being evasive of the CGST Act came up again, and the petition, in view of the *supra* judgments, came to be dismissed.

In a recent case, it was averred before the Hon'ble Rajasthan High Court that FIFS (Federation of Indian Fantasy Sports) was making way for gambling activities, and in the absence of ample legal mechanism, illegal activities were flourishing.[41] The Hon'ble Rajasthan High Court while dismissing the above-referred petition was pleased to observe, *inter alia*, the following:

'...Respondent No. 2, Federation of Indian Fantasy Sports (FIFS) have filed reply and relied upon various judgments of various Courts in India and have asserted that it has been consistently held that online fantasy sports are games of skills distinguished from gambling/betting and enjoy protection under Article 19(1)(g) of the Constitution of India. Copies of the Draft Self Regulations Guidelines issued by the NITI Aayog as well as research conducted by the IIM Bangalore have also been relied upon and placed on record in order to establish their assertion that making teams on a fantasy sports platform demonstrates a higher range of skill than what is required by a mutual fund manager to manage the mutual fund portfolio...'.

The Hon'ble Supreme Court of India, in the matter of *Avinash Mehrotra v. The State of Rajasthan &Ors.* [42]came to observe the following:

'...We have heard Mr. Prashant Kumar, learned counsel for the Petitioner who continues to press for adjournment, and points out a judgment dated 06.02.2020 of the State of New York Supreme Court, Appellate Division which is at page of the paper book in which, according to him, the fantasy sports spoken of in this matter are pure gambling and not games of skill. This matter is no more res integra as Special Leave Petitions have come up from the Punjab & Haryana High Court and have been dismissed by this Court as early as on 15.06.2017. Also, from the Bombay High Court, Special Leave

[40]D.B. CWP 20779/2019

[41]D.B. CWP 2026/2021

[42]SLP (Civil) Diary No. 18478/2020

Petitions have been dismissed on 04.10.2019 and 13.12.2019...'

Considering the above-referred judgments and in view of the opinion of the Hon'ble Supreme Court of India, it is certain that Online Fantasy Sports constitute games of mere skill, and hence, do not fall within the purview of gambling. However, there lies a sea of Online Games which do not fall within the purview of Online Fantasy Sports, and thus, the above-referred judgments might not necessarily be applicable upon or relevant to the same. Perhaps, a further and an in-depth examination is needed.

ONLINE GAMING- BEYOND FANTASY SPORTS

The Online Gaming industry in India continues to thrive amidst threats of association with gambling and betting. In terms of the Constitution of India, Betting and Gambling happen to be a State Subject Matter. In view of the same, some states have come to adopt the Public Gambling Act, while some have come out with their own legislations in order to ensure regulation of gambling and betting activities. It is also essential to understand the distinction between Gambling and Betting- while betting pertains to an outsider putting stakes on the outcome of a game, gambling involves the party with monetary stakes to participate in the activity. Another essential element is monetary stakes, and hence, gaming activities such as social gaming, wherein no prize is involved, are generally not considered gambling under the concerned legislations. The position pertaining to Sports Betting being a game of skill or not is subject to the outcome of *Geeta Rani vs Union of India &Ors.* Notwithstanding the same, the legal standpoint is more or less clear- monetary involvement in a 'game of chance' is prohibited by the law. This stand is not squarely applicable upon games of skill- for instance, in the *K.R. Lakshmanan* case, it was categorically held that betting on horse racing was a game of skill, and hence, was not illegal. On the other hand, monetary involvement in activities such as Bingo, Casino, Lottery etc. i.e., games of chance have been prohibited by most legislations. It is not unobvious that similar legal conundrums start to pop up when it comes to Online Gaming. Much to our misfortune, there is no specific or definitive answer as to

whether online games in India (in general and in entirety) are legal.

As such, there is no single or integrated law or statute in India that pertain to both Gaming/Online Gaming, as well as Gambling/Betting. Nevertheless, in view of the above-referred fact where Gambling/Betting fall under the purview of the State's power to make laws, certain states such as Telangana, Andhra Pradesh, Tamil Nadu etc. have banned online gaming with certain reservations- While Tamil Nadu permits skill-based gaming online, such gaming is banned altogether in Andhra Pradesh and Telangana. Northeastern states Sikkim and Nagaland mandate the requirement of a license for the purpose of Online Gaming. The state of Sikkim also goes on to define 'Online Gaming' as 'any gaming where any player enters or may enter the game or takes or may take any step in the game or acquires or may acquire a chance in any online gaming or Sport Gaming, by means of a telecommunication device including the negotiating or receiving of any bet by means of a



telecommunication device.' To obtain more clarification, perhaps its ideal to look at some of the most popular and common online gaming platforms, in addition to Fantasy Sports, which are prevalent across India; to have an overview upon the legal issues surrounding these will provide some clarity pertaining to present-day legal position of Online Gaming in India.

RUMMY



As already discussed, the Hon'ble Apex Court had made it categorically clear that Rummy is a game of skill, not hit by gambling laws. The Hon'ble Kerala Court has observed in the case of *Ramchandran K. v. The Circle Inspector of Police*[43]that Rummy, although a game of skill, will be punishable when played for stakes. While the erstwhile position marked 'Rummy' as an exception amidst the Kerala Gambling Act, 1960, the recent insertion of the phrase 'except online rummy when played for stakes' after the term 'Rummy' ousts Online Rummy played for stakes from the safety-net of exceptions to Kerala Gambling Act[44]. The fate of this change is subject to the outcome of various challenges leveled against the same before the Hon'ble Kerala High Court[45]. The Hon'ble Madras High Court in its recent move declared the Part II of Tamil Nadu Gaming and Police Laws (Amendment) Act, 2021, *ultra-vires,* wherein it was held that while the State can legislate upon a 'Game of Skill', invoking Entry 34 is not the correct mechanism to do so.[46] In Nagaland, for offering Rummy on online media, it is essential to obtain a License.[47]

POKER

The viewpoints of various High Courts have been distinct from one another, insofar as the question of Poker is concerned. As per the Hon'ble Apex Court, there lies no scope for use of skills in games like poker double up, blackjack and Pacman, and thus, such games are prohibited[48]. However, upon a perusal of the judgment, the same appears to be a passing reference, thereby implying that no concrete ruling

[43]WP (C) No. 35535 of 2018

[44]GO (P) 129/76/Home dated 30.09.1976

[45]WP (C) Nos. 8440/2021, 7785/2021, 7851/2021, 7855 of 2021

[46]WP (C) No. 18022/2020

[47]The Nagaland Prohibition of Gambling and Promotion and Regulation of Online Games of Skill Act, 2016

[48]M.J. Sivani v. State of Karnataka (AIR 1995 SC 1770)

in this regard exists as on date. The Bombay High Court[49] as well as the Gujarat High Court[50] have held Poker to be a game of chance. On the other hand, the Hon'ble Calcutta High Court has opined that Poker is not covered under the State's Gambling laws, and hence, is not restricted[51]. It is worth noting that the law in State of West Bengal has specifically excluded Poker from the definition of gambling"[52]. Similarly, Nagaland has categorically put Poker under 'Game of Skill'. In Karnataka, it has been held that a license is not required under the Karnataka Police Act, 1963 when Poker is played as a game of skill.



BINGO

Bingo is a game of chance, and hence, is hit by most Enactments in this regard. Considering whatever format is adopted by the same, the game of Bingo may fall in the definition of betting/gambling or 'lottery'.

LOTTERIES

In regard to Lotteries, two enactments namely the Lotteries (Regulation) Act, 1998 and the Lotteries (Regulation) Rules, 2010 are in place. In terms of the same, the State Governments in India are authorized to organize lotteries, subject to the provisions of the above-referred enactments. While some states have banned lotteries, some regulate lotteries physically. Also, there are states where lotteries are conducted online. These lotteries are distributed/sold by State-appointed entities. However, private lotteries are strictly prohibited under Section 294A, IPC, although some States have repealed the provision.

[49] Nasir Salim Patel v. State of Maharashtra & Ors., WP (Criminal) 427 of 2017

[50] Dominance Games Pvt. Ltd., v. State of Gujarat (2018 1 GLR 801)

[51] *Indian Poker Association* v. State of West Bengal, W.P.A. No. 394 of 2019

[52] West Bengal Gambling and Prize Competitions Act, 1957

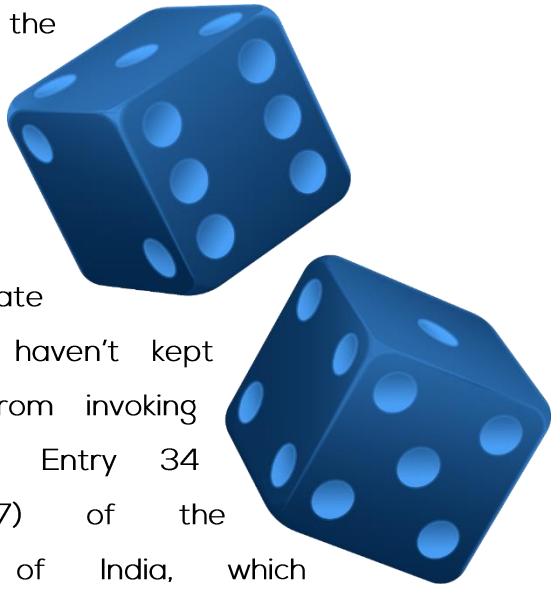
CASINO

Being based predominantly on Chance, Casino is considered equivalent to Betting/Gambling activities. Therefore, they are hit by most Enactments in this regard, with an exception of the State of Sikkim, where the certain casino games, such as Roulette, Casino Brag and Blackjack are available on conditional basis[53]. In other States, Casinos are by and large prohibited for being chance-based.

STATE-WISE ENACTMENTS

Upon a perusal of the facts and developments as discussed so far, it is apparent that while various platforms pertaining to Online Gaming are operational across the country, no comprehensive, full or complete legal code or enactment is in place so as to regulate the Online Gaming industry and demonstrate a clear position regarding Online Gaming *vis-à-vis* Gambling/Betting/Wagering.

Notwithstanding the same, the Public Gambling Act continues to prevail as the Central code to regulate the threat of Gambling; however, the same does not engulf the concept of 'Online Gaming'. Nevertheless, several State Governments haven't kept themselves from invoking the List II- Entry 34 (Schedule 7) of the Constitution of India, which authorizes them to come up with their own laws so as to regulate Gambling/Betting.



That being said, as on date the scenario is such that various States have adopted their own mechanisms to regulate the activities of Gambling/betting; while a majority of the states adhere to the Public Gambling Act, 1867, several states have come up with their own laws to curb the threat of gambling/betting, some of which also engulf, either directly or indirectly, the concept of Online Gaming, and prescribe provisions concerning the same. A State-wise overview/analysis in this regard will assist by outlining a clear picture of relevant laws that concern the Online Gaming Industry in any particular state-

[53] The Sikkim Online Gaming (Regulation) Act, 2008

STATE-WISE ENACTMENTS

S.NO	STATE	ENACTMENTS IN FORCE	REMARKS
1.	ANDHRA PRADESH	-THE ANDHRA PRADESH GAMING ACT, 1974 -THE ANDHRA PRADESH GAMING (AMENDMENT) ACT, 2020	The Amendment Act of 2020 was introduced to prohibit all forms of online and physical gambling and betting where real money is involved, with the only Exception of horse racing. Andhra Pradesh no longer differentiates games of skill from games of chance
2.	ARUNACHAL PRADESH	THE ARUNACHAL PRADESH GAMBLING (PROHIBITION) ACT, 2012	The Act provides for punishment of Public Gambling and keeping of common gaming house in the State of Arunachal Pradesh u/s 13, under 'Exemption of Games of Mere Skill'; only upon 'games played without involving any money and merely for the sake of entertainment' are excluded.
3.	ASSAM	THE ASSAM BETTING AND GAME ACT OF 1970	The Act outlaws all games of skill where the player stakes money, valuable security, or material things.
4.	BIHAR	-THE PUBLIC GAMBLING ACT, 1967 -THE LOTTERIES (REGULATION) ACT, 1998	'Gambling' has been defined as illegal. There is no specific mention.
5.	CHHATTISGARH	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.

6.	GOA	THE GOA, DAMAN, AND DIU PUBLIC GAMBLING ACT, 1976	The State does not have a clear law on online gambling, despite being a long-known hotspot for offline casinos, and in present times online casinos.
7.	GUJARAT	THE GUJARAT PREVENTION OF GAMBLING ACT, 1887.	The Act prohibits gambling but it remains silent on online gaming/gambling.
8.	HARYANA	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
9.	HIMACHAL PRADESH	THE PUBLIC GAMBLING (HIMACHAL PRADESH AMENDMENT) ACT, 1976	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
10.	JHARKHAND	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
11.	KARNATAKA	THE KARNATAKA POLICE ACT, 1963	The Act is similar to the Public Gambling Act, 1867; online gaming is not prohibited.
12.	KERALA	THE KERALA GAMING ACT, 1960	The Act has made rummy/online rummy (when played for stakes) illegal; online gaming is not prohibited.
13.	MADHYA PRADESH	-THE PUBLIC GAMBLING ACT, 1867 -THE MADHYA PRADESH PRATIBANDH ACT, 1993	Online gaming is not specifically prohibited.

14.	MAHARASHTRA	-THE PUBLIC GAMBLING ACT, 1867 -THE MAHARASHTRA PREVENTION OF GAMBLING ACT, 1887	Online gaming is not specifically prohibited.
15.	MANIPUR	-THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
16.	MEGHALAYA	THE MEGHALAYA REGULATION OF GAMING ACT, 2021	The Act aims at regulating both 'games of skill' and 'games of chance' involving betting/wagering of money or money's worth. The Act does not prohibit Online Gaming (License-based regime).
17.	MIZORAM	THE PUBLIC GAMBLING (EXTENSION TO MIZO DISTRICT) ACT, 1962	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
18.	NAGALAND	THE NAGALAND PROHIBITION OF GAMBLING AND PROMOTION AND REGULATION OF ONLINE GAMES OF SKILL ACT, 2016	The Act explicitly prohibits gambling which includes games involving wagering or betting based on chance and not skill. The Government issues license under the provisions of the Act.
19.	ORISSA	THE ODISHA PREVENTION OF GAMBLING ACT, 1955	The Act explicitly makes all forms of gambling illegal. Online Fantasy Sports platforms are not permitted.
20.	PUNJAB	THE PUNJAB PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.

21.	RAJASTHAN	THE RAJASTHAN PUBLIC GAMBLING ORDINANCE, 1949	The Rajasthan Public Gambling (Prevention) Bill, 2021, which shall amend the Ordinance of 1949 is yet to be passed. The games of skill such as Online Fantasy Sports are permitted.
22.	SIKKIM	THE SIKKIM ONLINE GAMING (REGULATION) ACT, 2008	The offer of 'Online Games and Sports Games' is restricted to the physical premises of gaming parlours within the state. Online Gaming is not prohibited.
23.	TAMIL NADU	THE TAMIL NADU GAMING ACT, 1930 THE TAMIL NADU GAMING AND POLICE LAWS (AMENDMENT) ACT, 2021	All online games with stakes are prohibited. However, the Tamil Nadu High Court recently declared as unconstitutional, Part II of the Act of 2021, which banned betting or wagering in cyberspace and also games of skill if played for a wager, bet, money or other stakes.
24.	TELANGANA	THE TELANGANA GAMING (AMENDMENT) ACT, 2017	The Act was introduced to curb the online gaming, majorly disrupted businesses offering real money online rummy.
25.	TRIPURA	THE TRIPURA GAMBLING ACT, 1926	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
26.	UTTAR PRADESH	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
27.	UTTARAKHAND	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically `mention online gaming; it's a way of gaming that isn't prohibited.
28.	WEST BENGAL	THE WEST BENGAL GAMBLING AND PRIZE COMPETITIONS ACT, 1957	The games of bridge, poker and rummy are excluded from the definition of gambling. The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.

S.NO	UNION TERRITORY	ENACTMENTS IN FORCE	REMARKS
1.	ANDAMAN AND NICOBAR ISLANDS	THE ANDAMAN AND NICOBAR ISLANDS PUBLIC GAMBLING REGULATION, 1951	The enactment does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
2.	CHANDIGARH	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
3.	DADRA AND NAGAR HAVELI AND DAMAN AND DIU	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
4.	DELHI	DELHI PUBLIC GAMBLING ACT, 1955	The Act does not specifically prohibit Online Gaming; such form of gaming is permitted.
5.	JAMMU AND KASHMIR	THE JAMMU AND KASHMIR PUBLIC GAMBLING ACT, 1920	The Act does not specifically prohibit Online Gaming; such form of gaming is permitted.
6.	LADAKH	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
7.	LAKSHADWEEP	THE PUBLIC GAMBLING ACT, 1867	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.
8.	PUDUCHERRY	THE PUDUCHERRY GAMING ACT, 1965	The Act does not specifically mention online gaming; it's a way of gaming that isn't prohibited.

ONLINE GAMING IN SIKKIM AND MEGHALAYA- AN UNUSUAL SHIFT?

SIKKIM

Online gaming has been kind of a taboo in India for decades, but Sikkim has been an anomaly to this and has been liberal with respect to Online Gaming. Sikkim also houses casinos which is a hit amidst Indians. This generates a lot of revenue for the state government and also attracts Indian as well as foreign tourists to Sikkim.

After the Sikkim Online Gaming (Regulation) Act, 2008, Sikkim Government followed it up with a memorandum on March 4, 2009 which was called the Sikkim Online Gaming (Regulations) Rules, 2009, and thus became the first State to advance at a certain kind of Legislation for Online Gaming.

Now let's look at an overview of this act and its amendments thereafter:

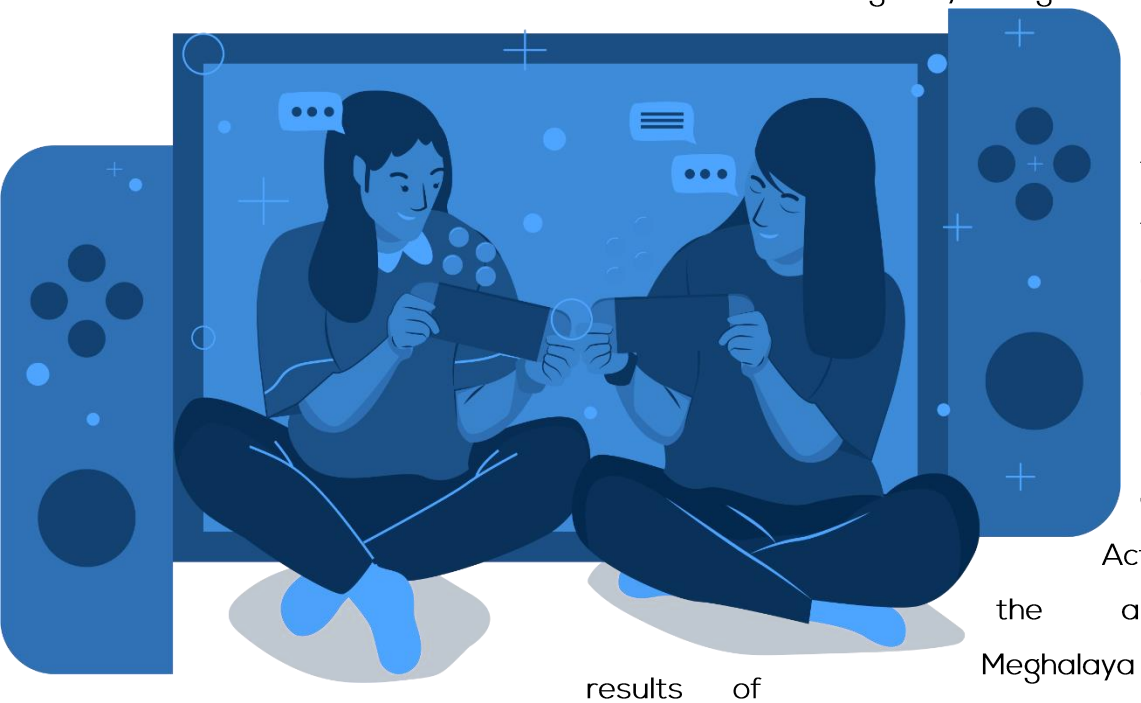
- The act makes Roulette, Black Jack, Pontoon, Punto Banco, Bingo, Casino Brag, Poker, Poker Dice, Baccarat, Chemin-de-for, Backgammon, Keno, and Super Pan 9 legal for playing online. Operators wishing to offer these games must pay an application fee of Rs.500 and then if their application is approved, a one-year license will be granted for Rs. 1 Lakh and it can be subsequently renewed each year for the identical price.
- Licensed operators are taxed monthly with 1% of their gross gaming revenue and this payment becomes due on 15th of the following month, and a 20% penalty is added if a payment is late.
- The licensed gaming sites are required the display the following Information:

1. Name and address of its registered office.
2. License number.
3. Date of issue of the original license.
4. Statement that the operation is regulated in Sikkim.
5. Government website hyperlinks and players anonymous.

- There are stringent rules relating to advertising standards, Ads must contain the URL clearly, they should not be indecent, offensive, or

contain sexual content and it shouldn't be misleading or false.

- The memorandum also gives stringent rules and regulations regarding random number generation, security systems, auditing, publishing of house advantage and much more.
- The words "online games and online gaming" were replaced by "Online Gaming and Sports Gaming". The list of approved casino games is now followed by the words "sport games like Football, Cricket, lawn tennis, chess, golf, Horse racing, and such other sports games which involves the prediction of the results of the sporting events and placing a bet on the outcome, in part or in whole, of such sporting event"



In 2014, Union Home Ministry allowed the Sikkim Government to regulate and legalise the online betting activities as long as it doesn't affect any other state, which is why the platform is only available on an intranet server; thus persons outside the state cannot access it.

MEGHALAYA

Meghalaya has become the 3rd state after Nagaland and Sikkim in the North Eastern part of India to carry out a legislation for the regulation of Online gaming and gambling within the state. In terms of the same, the government of Meghalaya has published the Meghalaya Regulation of Gaming Act, 2021 on 26 March, 2021.

Through this Act, the Meghalaya Government regulates "Games of Skill" and "Games of Chance" and this Act also withdraws the applicability of Meghalaya Prevention of Gambling Act, 1970 to the "Games of Skill" and "Games of Chance" which would be licensed under the above-

mentioned act. Under the Act of 2021, a committee known as "Meghalaya Gaming Commission" will be set up, and this Committee's primary function will be monitoring the "Gaming Activities" in the state of Meghalaya. This will be a 3-member committee which includes a Retired High Court Judge, a person with expertise and experience in Gaming industry and a person from a civil society.

Following in the steps of the State of Sikkim, the Government of Meghalaya too will set up a licensing-based operation for both the Games of Chance and Skill. This system will work with providing licenses to Indian citizens or companies set up in India and the renewing time for the said license will be every 5 years. The license holders will also have to pay a "Gaming Royalty" to the authority issuing the License. This act wants to run these Gaming Activities through non-restricted geo-fenced internet domains via which license holders can run their operations. Further there are also sanctions for those persons who are running such activities without proper license and the punishment is imprisonment up to 2 years or fine up to Rs.10 Lakhs.

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WAY FORWARD - WHAT LIES AHEAD?

By virtue of multiple litigations as have transpired across the Hon'ble Apex Court as well as various High Courts over the years, it appears that the conundrums surrounding issues such as Gambling, Betting etc. are largely settled already, while the remainder is likely to attain finality in the coming future. Consequently, the Online Gaming Industry has come to be dynamic in terms of adaptability to the varying legal stands. Notwithstanding the same, there lies a bed of thorns in the form of other challenges before the industry- such as a threat of Addiction primarily amidst youth; sometimes to an extent wherein the participants can go on to involve humongous amounts in the name of stakes, which, in unfavorable circumstances, can also lead to undesirable results such as violence, suicides etc. Owing to such reasons, the industry is prone to earning a not-so-good name which could riddle it with adjectives that do not showcase a friendly approach towards Public Policy.

That being said, it is a fact that when it comes to such challenges, regulation triumphs prohibition. While the road to efficacious regulation of the industry on the whole is sure to be coloured with challenges, in no case shall it be overlooked that the industry carries with itself a potential to unleash a series of economic boosters ranging across factors such as employment generation, foreign investment, taxation, promotion of sports mindset etc. If steps are taken to govern the industry with a full-proof regulatory framework, the above-referred challenges are axiomatically liable to curb themselves and generate an environment that is conducive for the industry; the NITI Aayog, for a fact, also appears to be in consonance with this view. The regulatory approach adopted by the states of Meghalaya and Sikkim certainly sets a threshold in this regard however, showcasing an anomaly to collect 1% of the gross yield from the gaming operators.

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